



Canada Revenue
Agency

Agence du revenu
du Canada

Employment Expenses

Includes forms T777, TL2,
T2200 and GST370

2025

Before you start

Find out if this guide is for you

If you are an **employee** and your employer requires you to pay expenses to earn your employment income, you can use this guide. It will help you calculate the expenses you can deduct. It also gives you all the information you need to claim the employee goods and services tax / harmonized sales tax (GST/HST) rebate. For more details, see Chapter 11 on page 34.

Note

You cannot deduct the cost of travel to and from work, or other expenses, such as most tools and clothing. These costs are considered personal expenses.

You deduct most of your allowable employment expenses on line 22900 of your income tax and benefit return. To find out how to get a tax package online, or to request a printed copy, go to canada.ca/cra-forms.

If you are **self-employed**, and you would like more information, see Guide T4002, *Self-employed Business, Professional, Commission, Farming, and Fishing Income*.

Forms included in this guide

Form T777, *Statement of Employment Expenses*

Complete Form T777 to calculate your allowable employment expenses and include Form T777 with your paper income tax and benefit return.

Form T2200, *Declaration of Conditions of Employment*

If you are deducting employment expenses, your employer will have to complete Form T2200. If you have more than one employer, ask each employer to complete a separate form. You do not have to include this form with your income tax and benefit return, but keep it in case the Canada Revenue Agency (CRA) asks to see it.

Note

Employers are not required to provide a handwritten signature on Form T2200, *Declaration of Conditions of Employment*, and Form T1223, *Clergy Residence Deduction*. The CRA will accept an electronic signature on each of these forms.

Form TL2, *Claim for Meals and Lodging Expenses*

Form TL2 is used by transport employees, such as employees of airline, railway, bus, or trucking companies, as well as other transport employees who satisfy the conditions listed in the section called “Travelling expenses” in Chapter 3 on page 9. Your employer has to complete Part 3 of the form. Most transport employees will complete Form TL2. You do not have to include this form with your income tax and benefit return, but keep it in case the CRA asks to see it. For more information on how to complete this form, see page 12.

Form GST370, *Employee and Partner GST/HST Rebate Application*

If you are an employee of a GST/HST registrant and you are deducting expenses from your employment income on your income tax and benefit return, you may be able to claim a rebate of the GST/HST you paid on these expenses. To claim the rebate, you must complete Form GST370. Include Form GST370 with your paper return. For information on how to complete this form, see page 36.

Motor vehicle expenses

The maximum capital cost of each vehicle that may be included in Class 10.1 is now \$38,000, before tax.

The deductible leasing costs are increased from \$1,050 to \$1,100 per month, before tax, for new leases entered into on or after January 1, 2025. For more information, see Chapter 9. The maximum allowable interest deduction remains at \$350 per month for new automobile loans entered into on or after January 1, 2025.

Capital cost allowance

Accelerated investment incentive and reaccelerated investment incentive

Under proposed changes, the accelerated investment incentive is available for qualifying property acquired before January 1, 2025, and that becomes available for use before 2028, and the reaccelerated investment incentive (RII) is available for qualifying property acquired on or after January 1, 2025, and that becomes available for use before 2034. The RII has a four-year phase out for property that becomes available for use after 2029. For more information, see “Accelerated investment incentive property” and “Reaccelerated investment incentive property” on page 29.

Enhanced first-year capital cost allowance

Under proposed changes, the enhanced first-year capital cost allowance (CCA) deduction for classes 54 and 55 can be up to 100% for new additions of property that become available for use before 2034. This enhanced first-year allowance will be phased out over a period of four years for properties that become available for use after 2029. For more information, see “Classes of depreciable properties” on page 29.

Ask for an alternate format

The CRA's publications and personalized correspondence are available in braille, large print, e-text, and MP3. For more information, go to **canada.ca/cra-multiple-formats** or call **1-800-959-8281**.

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Chapter 1 – Keeping records

You have to keep records for each year you claim expenses. These records must include **all** of the following:

- a daily record of your expenses, together with your receipts and any cancelled cheques
- any ticket stubs for travel
- invoices
- any monthly credit card statements
- a record of each motor vehicle you used for employment. This record must show both the total kilometres you drove and the kilometres you drove for employment purposes in the year

Your receipts for the purchase of merchandise or services have to show the following:

- the date you made the purchase
- the name and address of the seller or supplier
- your name and address
- a full description of the goods or services you bought
- information regarding the GST/HST you paid on your expenses, or the rate of tax if you are claiming the GST/HST rebate for employees

Keep a record of the motor vehicles or musical instruments you bought and sold because you may be able to claim capital cost allowance. This record has to show who sold you the motor vehicle or musical instrument, the cost, and the date you bought it.

If you sell or trade a motor vehicle or musical instrument, indicate the date you sold or traded it on your bill of sale and indicate the amount you received from the sale or trade-in.

Do not send your records or receipts with your income tax and benefit return, but keep them in case the CRA asks to see them. If you do not keep all supporting documentations, the CRA may reduce your claim.

Generally, you have to keep your records (whether paper or electronic) and your supporting documents for at least **six years** from the end of the tax year to which they apply. If you want to destroy your records before the six-year period is over, you must first get written permission from the director of your tax services office using Form T137, *Request for Destruction of Records*, or by making your own written request.

For more information, see Information Circular IC78-10R5, *Books and Records Retention/Destruction*. You can find the address of your tax services office by going to **canada.ca/lcra-offices** or by calling the CRA at **1-800-959-8281**.

Employees who are shareholders

When you are an employee and also a shareholder of a business, you must meet the following two conditions before employment expenses can be claimed:

- The expenses were incurred as part of your employment duties
- You were required to pay for the expenses yourself as part of your employment duties

When an employee is also a shareholder, these two conditions can be satisfied in the following way:

- The expenses were incurred as part of your employment duties and not in your capacity as a shareholder

If you are a shareholder, you must establish that the expenses were incurred in your capacity as an employee and not a shareholder. To do this, you must be able to establish that the expenses are comparable to expenses incurred by employees (who are not shareholders or related to a shareholder) with similar duties at your company, or at other businesses similar to your company in size, industry and services provided. You do not need to include this information on your income tax and benefit return or the Form T2200, *Declaration of Conditions of Employment*. However, the CRA could ask you to provide this later.

- You were required to pay for the expenses yourself as part of your employment duties

Usually, a written contract of employment specifies the expenses a non-shareholder employee must pay. Sometimes there is no written contract or the requirement to incur expenses is not clearly identified in the contract, but there is an implied requirement for the employee to pay the expenses. For example, an employee can demonstrate an implied requirement by showing they face possible disciplinary action if they do not meet the requirement.

If you are a shareholder-employee however, an implied requirement may be more difficult to demonstrate and a written contract may not be adequate to establish that you were required to pay for the expenses as part of your employment duties.

To meet this condition, you must be able to establish that the expenses are comparable to expenses incurred by employees (who are not shareholders or related to a shareholder) with similar duties at your company, or at other businesses similar to your company in size, industry and services provided. This will support that you were required to pay the expenses to fulfill your obligations in your capacity as an employee.

You must meet **both** conditions to deduct the expense(s) on the income tax and benefit return. If both conditions are met, you may, as a shareholder, have the authority to certify Form T2200 for yourself or a related employee.

Chapter 2 – Employees earning commission income

This chapter describes the expenses you can deduct if you earn commission income. If you earn a salary, see Chapter 3 on page 9.

Note

You cannot deduct the cost of travel to and from work, or other expenses, such as most tools and clothing.

Employees who sell goods or negotiate contracts for an employer can deduct some of the amounts they paid to earn commission income.

However, except for interest and capital cost allowance (CCA) on your vehicle, the total of the expenses you can deduct cannot be more than the commissions or similar amounts you received in the year.

If your total commission expenses (except interest and CCA on your vehicle) are more than the commissions or similar amounts you received, there is another method you can use to claim expenses. Using this method might be to your advantage because it allows you to claim your expenses as a salaried employee instead of as a commission employee. If you deduct expenses this way, your claim is not limited to the commissions you received in the year. If you choose this method, you would claim only travelling expenses (food and lodging), motor vehicle expenses (including interest and CCA on your vehicle), and certain other expenses if applicable, such as the cost of supplies or office rent. However, to do so, you have to meet the same conditions that a salaried employee must meet for claiming travelling expenses and motor vehicle expenses. For more information, see “Travelling expenses” on page 9.

Example

You work for a company that sells video equipment and you meet the employment conditions listed on this page. During 2025, you recorded the following information:

Salary received	\$ 45,000
Commissions received	\$ 5,000
Total employment income	\$ 50,000
Expenses:	
Advertising and promotion	\$ 1,000
Travelling expenses	\$ 6,000
Capital cost allowance	\$ 1,500
Interest on car loan	\$ 500
Total expenses	\$ 9,000

Your total expenses of \$9,000 are more than your commissions of \$5,000. Therefore, your claim for expenses is limited to \$5,000 plus the CCA of \$1,500 and interest of \$500, for a total claim of \$7,000. However, you could choose to claim expenses as a salaried employee, in which case you could claim the travelling expenses of \$6,000, but not the advertising and promotion expenses. Using this method, you can also claim the CCA of \$1,500 and interest of \$500, for a total claim of \$8,000.

Employment conditions

To deduct the expenses you paid to earn commission income, you have to meet **all** of the following conditions:

1. Under your contract of employment, you had to pay your own expenses

Note

You are not considered to have paid your own motor vehicle expenses if your employer reimburses you or if you refuse a reimbursement or reasonable allowance from your employer.

2. You were normally required to work away from your employer's place of business
3. You were paid in whole or in part by commissions or similar amounts. These payments were based on the volume of sales made or the contracts negotiated
4. You did not receive a non-taxable allowance for travelling expenses. Generally, an allowance is non-taxable as long as it is a reasonable amount. For example, an allowance for the use of a motor vehicle is usually non-taxable when it is based solely on a reasonable per-kilometre rate
5. You keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, which has been completed by your employer

For more information, see archived Interpretation Bulletin IT-522R, *Vehicle, Travel and Sales Expenses of Employees*.

Deductible expenses

This guide includes Form T777, *Statement of Employment Expenses*. Use it to calculate your total employment expenses. Once you calculate the employment expenses you can deduct, enter the amount on line 22900 of your income tax and benefit return. Include Form T777 with your return.

Your employment expenses include any GST and provincial sales tax (PST), or HST, you paid on these expenses. You may be able to get a rebate of the GST/HST you paid. For more information, see Chapter 11 on page 34.

The following describes the types of deductible expenses in the order they appear on Form T777.

Accounting and legal fees

You can deduct reasonable accounting fees you paid for help to complete and file your income tax and benefit return. You can deduct legal fees you paid in the year to collect or establish a right to collect salary or wages.

You can also deduct legal fees you paid in the year to collect or establish a right to collect other amounts that must be reported in employment income even if they are not directly paid by your employer.

However, you must reduce your claim by any amount awarded to you for those fees or any reimbursement you received for your legal expenses. You do not have to meet

the conditions listed in “Employment conditions” on the previous page to deduct legal fees.

For more information, see consolidated and archived Interpretation Bulletin IT-99R5, *Legal and Accounting Fees*.

Advertising and promotion

You can deduct expenses for advertising and promotion, including amounts you paid for business cards, promotional gifts, and advertisements.

Allowable motor vehicle expenses (including capital cost allowance)

Motor vehicle expenses are explained on page 25 and capital cost allowance on page 29.

If you have received a non-taxable motor vehicle allowance and can show that the employment-related motor vehicle expenses are in excess of the allowance and voluntarily include the amount of the allowance in income, you can deduct your motor vehicle expenses if employment conditions 1, 2, 3, and 5 are met.

Food, beverages, and entertainment expenses

Food and beverages

You can deduct food and beverage expenses as long as your employer requires you to be away for at least 12 consecutive hours. To qualify, you must be away from the municipality and the metropolitan area (if there is one) of your employer's location where you normally report for work. These amounts are subject to the **50% limit** explained below in the section “Entertainment expenses.”

The 50% limit also applies to the cost of food, beverages and entertainment you paid for when you travelled on an airplane, train or bus, as long as the ticket price did not include such amounts.

For more information, see archived Interpretation Bulletin IT-518R, *Food, Beverages and Entertainment Expenses*.

Entertainment expenses

You can deduct part of the entertaining expenses you paid for clients. These expenses include food, beverages, tickets and entrance fees to entertainment or sporting events. You can also deduct tips, cover charges, room rentals to provide entertainment, such as hospitality suites and the cost of private boxes at sports facilities.

The maximum deduction is **50%** of the **lesser** of:

- the amount you actually paid
- an amount that is reasonable to pay in the circumstances

For more information, see archived Interpretation Bulletin IT-518R.

Lodging

You can deduct lodging expenses if your work conditions require you to travel away from your employer's place of business and you pay your own lodging expenses.

Parking costs

You can deduct parking costs related to earning your commission income. Generally, you cannot deduct the cost of parking at your employer's office, such as monthly or daily parking fees or the cost of traffic infractions such as speeding tickets. These are personal costs.

Do **not** include parking costs as part of your allowable motor vehicle expenses. Enter them on the “Parking” line on Form T777.

Supplies

You can deduct the cost of supplies that you paid for, or that were paid for you, and included in your income. Supplies are only those materials you use directly in your work, and for no other purpose.

Supplies include items such as stationery items, stamps, toner, ink cartridges, street maps and directories. Supplies do **not** include items such as briefcases or calculators.

Special clothing and tools

You cannot deduct the cost of special clothing you have to wear for your work. You cannot deduct the cost of any tools that are considered to be equipment. However, if you are a tradesperson (including an apprentice mechanic) as described in Chapter 7, on page 16, you may be able to deduct the cost of eligible tools you bought to earn employment income as a tradesperson.

For more information, see archived Interpretation Bulletin IT-352R2, *Employee's Expenses, Including Work Space in Home Expenses*.

Other expenses

Licences

Deduct annual licence fees if you must have a licence to do your work. For example, real estate and insurance salespeople can deduct the cost of their annual licences.

Bonding premiums

You can deduct payments for bonding and liability insurance premiums.

Medical underwriting fees

You can deduct expenses you paid for items such as X-rays and heart diagrams related to underwriting your customers' risks.

Computers, cell phones, and other equipment

If you **lease** computers, cell phones, fax machines or other equipment, you can deduct the part of the lease cost that reasonably relates to earning your commission income.

Note

You can include your reasonable **monthly home Internet access fees** as part of your work-space-in-the-home expenses.

You can also deduct the part of airtime expenses for a cell phone that reasonably relates to earning your commission income. However, you cannot deduct amounts you paid to connect or license the cell phone.

If you **buy** a computer, cell phone, fax machine or other such equipment, you cannot deduct the cost. Also, you cannot deduct capital cost allowance or interest you paid on money you borrowed to buy this equipment.

Long distance calls

You can deduct expenses you paid for long-distance telephone calls that reasonably relate to the earning of commission income. However, you cannot deduct the monthly basic rate for your home telephone.

Salaries

You can deduct the salary you paid (or that was paid for you and included in your income) to your substitute or assistant.

You may have to withhold income tax, Canada Pension Plan (CPP) or Quebec Pension Plan (QPP) contributions, and employment insurance (EI) and provincial parental insurance plan (PPIP) premiums from the salary you paid. Report on a T4 slip, the salary and amounts you withheld. For more information, go to canada.ca/taxes-slips or canada.ca/t4-information-employers.

As the employer, you can also deduct as an expense your share of the CPP or QPP contributions and the EI and PPIP premiums.

Office rent

You can deduct office rent you paid, or that was paid for you and included in your income, to earn your commission income. Do not confuse office rent with work-space-in-the-home expenses, which is explained on this page.

Training costs

You can deduct the cost of a training course as an employment expense. The course has to maintain, upgrade or update your existing skills or qualifications that relate to your employment.

You cannot deduct the cost of a training course as an employment expense if the course is for personal reasons, the cost is unreasonable, or you receive a lasting benefit from the course. For example, you receive a lasting benefit when you take a course to get a credit towards a degree, diploma, professional qualification or similar certificate.

For more information and additional examples, see archived Interpretation Bulletin IT-357R2, *Expenses of training*.

If you cannot deduct the cost of a training course as an employment expense, you can claim it as a tuition amount as long as you meet the conditions described in Guide P105, *Students and Income Tax*.

Travel fare

You can deduct the full amount you paid for travel fare, such as your airline, bus or train ticket, as long as you paid it only to earn commission income.

Excess employees profit-sharing plan (EPSP) amounts

If an excess amount has been contributed to a specified employee's EPSP in 2025, the excess EPSP amount is subject to a special tax.

A specified employee is a person who deals with an employer in a non-arm's length relationship or who owns, directly or indirectly, at any time in the year, not less than 10% of the issued shares of any class of the capital stock of the employer corporation, or any other corporation that is related to the employer corporation.

Generally, an excess EPSP amount is the part of an employer's EPSP contribution, allocated by the trustee to a specified employee that is more than 20% of that employee's income from employment received in the year from that employer.

To calculate the excess EPSP amount and the special tax that applies to it, complete Form RC359, *Tax on Excess Employees Profit Sharing Plan Amounts*, by going to canada.ca/cra-forms or by calling 1-800-959-8281.

Work-space-in-the-home expenses

You can deduct expenses you paid in 2025 for the employment use of a work space in your home, as long as you meet **one** of the following conditions:

- You worked more than 50% of the time from home for a period of **at least** four consecutive weeks
- You use the work space only to earn your employment income. You also have to use it on a regular and continuous basis for meeting clients, customers or other people in the course of your employment duties

Keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, that has been completed by your employer.

You can deduct the part of your costs that relates to your work space, such as the cost of electricity, heating, maintenance, property taxes and home insurance. However, you **cannot** deduct mortgage interest or capital cost allowance.

Monthly home Internet access fees

You can include your reasonable monthly home Internet access fees as part of your work-space-in-the-home expenses.

To calculate the percentage of work-space-in-the-home expenses you can deduct, use a reasonable basis, such as the area of the work space divided by the total finished area (including hallways, bathrooms, and kitchens). For maintenance costs, it may not be appropriate to use a percentage of these costs. For example, if the expenses you paid (such as cleaning materials or paint) were to maintain a part of the house that was not used as a work space, then you cannot deduct any part of them.

Alternatively, if the expenses you paid were to maintain the work space **only**, then you may be able to deduct all or most of them.

If your work space is in a rented house or apartment where you live, deduct the percentage of the rent and any maintenance costs you paid that relate to the work space.

The amount you can deduct for work-space-in-the-home expenses is limited to the amount of employment income remaining after all other employment expenses have been deducted.

This means that you cannot use work space expenses to create or increase a loss from employment.

You can only deduct work space expenses from the income to which the expenses relate, and not from any other income.

If you cannot deduct all your work space expenses in the year, you can carry forward the expenses. You can deduct these expenses in the following year as long as you are

reporting income from the same employer. However, you cannot increase or create a loss from employment by carrying forward work space expenses.

For more information, see archived Interpretation Bulletin IT-352R2, *Employee's Expenses, Including Work Space in Home Expenses*.

Chapter 3 – Employees earning a salary

This chapter describes the expenses you can deduct if you earn a salary. If you earn commission income, see Chapter 2 on page 6.

Note

You cannot deduct the cost of travel to and from work, or other expenses, such as most tools and clothing.

Deductible expenses

This guide includes Form T777, *Statement of Employment Expenses*. Use it to calculate your total employment expenses. Once you calculate the employment expenses you can deduct, enter the amount on line 22900 of your income tax and benefit return. Include Form T777 with your return.

Your employment expenses include any GST and provincial sales tax (PST), or HST, you paid on these expenses. You may be able to get a rebate of the GST/HST you paid. For more information, see Chapter 11 on page 34.

The following describes the types of deductible expenses in the order they appear on Form T777.

Accounting and legal fees

You can deduct any legal fees you paid in the year to collect or establish a right to collect salary or wages.

You can also deduct legal fees you paid in the year to collect or establish a right to collect other amounts that must be reported in employment income even if they are not directly paid by your employer. However, you must reduce your claim by any amount awarded to you for those fees or any reimbursement you received for your legal expenses.

In some cases, you may also be able to deduct certain accounting fees. For more information, see consolidated and archived Interpretation Bulletin IT-99R5, *Legal and Accounting Fees*.

Allowable motor vehicle expenses (including capital cost allowance)

You can deduct your motor vehicle expenses if you meet **all** of the following conditions:

1. You were normally required to work away from your employer's place of business or in different places
2. Under your contract of employment, you had to pay your own motor vehicle expenses. You are not considered to have paid your own motor vehicle expenses if your employer reimburses you or you refuse a reimbursement or reasonable allowance from your employer

3. You did not receive a non-taxable allowance for motor vehicle expenses. Generally, an allowance is non-taxable when it is based solely on a reasonable per-kilometre rate

4. You keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, which has been completed by your employer

If you received a non-taxable motor vehicle allowance, you can deduct your motor vehicle expenses if **all** of the following conditions are met:

- You can show that the employment-related motor vehicle expenses are in excess of the allowance
- You voluntarily include the amount of the allowance in your income
- Conditions 1, 2, and 4 above are met

For more information, see archived Interpretation Bulletin IT-522R, *Vehicle, Travel and Sales Expenses of Employees*.

Motor vehicle expenses are explained on page 25 and capital cost allowance on page 29.

Travelling expenses

Travelling expenses include food, beverage, lodging and transportation (such as airplane, train, or bus) expenses but not motor vehicle expenses. You can deduct travelling expenses as long as you meet **all** of the following conditions:

- You were normally required to work away from your employer's place of business or in different places
- Under your contract of employment, you had to pay your own travelling expenses
- You did not receive a non-taxable allowance for travelling expenses. Generally, an allowance is non-taxable as long as it is a reasonable amount
- You keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, which has been completed by your employer

Enter your claim for deductible transportation expenses (such as airplane, train, or bus) on the "Other expenses" line of Form T777.

You can deduct food and beverage expenses if your employer requires you to be away for at least 12 consecutive hours from the municipality and the metropolitan area (if there is one) of your employer's location where you

normally report for work. The most you can deduct for food and beverage expenses is **50%** of the **lesser** of:

- the amount you actually paid
- an amount that is reasonable in the circumstances

The 50% limit also applies to the cost of food and beverages you paid for when you travelled on an airplane, train, or bus, as long as the ticket price did not include such amounts.

If you are a **transportation employee**, you may also be able to claim expenses for meals and lodging (including showers). See Chapter 4 on page 12.

For more information about travelling expenses, see archived Interpretation Bulletin IT-522R, *Vehicle, Travel and Sales Expenses of Employees*, and archived Interpretation Bulletin IT-518R, *Food, Beverages and Entertainment Expenses*.

Parking costs

You **can** deduct parking costs related to earning your employment income as long as you meet all the conditions listed in the section called “Allowable motor vehicle expenses (including capital cost allowance)” on the previous page. Generally however, you cannot deduct the cost of parking at your employer’s office, such as monthly or daily parking fees or the cost of traffic infractions such as speeding tickets. These are all personal costs.

Do **not** include parking costs as part of your allowable motor vehicle expenses. Enter them on the “Parking” line on Form T777.

Supplies

You can deduct the cost of supplies you paid for (or that were paid for you and included in your income) if you meet **all** of the following conditions:

- Under your contract of employment, you had to provide and pay for the supplies
- You used the supplies directly in your work
- Your employer has not repaid and will not repay you for these expenses
- You keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, which has been completed by your employer

Supplies are only those materials you use directly in your work, and for no other purpose.

Supplies include items such as stationery items, stamps, toner, ink cartridges, street maps, directories, disposable masks, disposable gloves, and sanitizing liquid. Supplies do **not** include items such as briefcases or calculators.

Special clothing and tools

You **cannot** deduct the cost of special clothing you wear or have to wear for your work. Also, you cannot deduct the cost of any tools that are considered to be equipment. However, if you are a tradesperson (including an apprentice mechanic) as described in Chapter 7 on page 16, you may be able to deduct the cost of eligible tools you bought to earn employment income as a tradesperson.

For more information, see archived Interpretation Bulletin IT-352R2, *Employee’s Expenses, Including Work Space in Home Expenses*.

For a detailed list of eligible supplies, go to canada.ca/cra-home-workspace-expenses.

Other expenses

Salaries

You can deduct the salary you paid (or that was paid for you and included in your income) to your substitute or assistant (extra help) if you meet **all** of the following conditions:

- Under your contract of employment, you had to pay for extra help
- The extra help is your employee. To determine whether an assistant or replacement is an employee, go to canada.ca/cpp-ei-rulings, or see Guide RC4110, *Employee or Self-Employed*
- Your employer has not repaid and will not repay you for these expenses
- You keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, which has been completed by your employer

You may have to withhold income tax, Canada Pension Plan (CPP) or Quebec Pension Plan (QPP) contributions, employment insurance (EI), and provincial parental insurance plan (PPIP) premiums from the salary you paid. Report on a T4 slip the salary and amounts you withheld. For more information, go to canada.ca/taxes-slips or canada.ca/t4-information-employers.

As the employer, you can also deduct as an expense your share of the CPP or QPP contributions and the EI and PPIP premiums.

Office rent

You can deduct office rent you paid (or that was paid for you and included in your income) if you paid it to earn your employment income. You must also meet **all** of the following conditions:

- Under your contract of employment, you had to rent an office and pay the expenses
- Your employer has not repaid and will not repay you for these expenses
- You keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, which has been completed by your employer

Do not confuse office rent with work-space-in-the-home expenses, which is explained in the next section.

Long distance calls

You can deduct expenses you paid for long-distance telephone calls, as long as you paid them to earn employment income. However, you **cannot** deduct the monthly basic rate for a telephone. You can claim a basic cell phone plan, but not a basic landline.

Computers, cell phones, and other equipment

You may be able to deduct a portion of your basic cell phone service plan if **all** of the following conditions are met:

- The cost of the plan is reasonable
- You are able to prove the cellular minutes or data were consumed directly in the performance of your employment duties (as well as the cost of the minutes or data)
- The cost of the plan has been divided between employment and personal use on a reasonable basis

However, you cannot deduct amounts you paid to connect or license the cell phone.

If you buy or lease a cell phone, fax machine, computer, or other such equipment, you cannot deduct the cost. Also, you cannot deduct capital cost allowance or interest you paid on money borrowed to buy this equipment.

Excess employees profit-sharing plan (EPSP) amounts

If an excess amount has been contributed to a specified employee's EPSP in 2025, the excess EPSP amount is subject to a special tax.

A specified employee is a person who deals with an employer in a non-arm's length relationship or who owns, directly or indirectly, at any time in the year, not less than 10% of the issued shares of any class of the capital stock of the employer corporation, or any other corporation that is related to the employer corporation.

Generally, an excess EPSP amount is the part of an employer's EPSP contribution, allocated by the trustee to a specified employee that is more than 20% of that employee's income from employment received in the year from that employer.

To calculate the excess EPSP amount and the special tax that applies to it, complete Form RC359, *Tax on Excess Employees Profit Sharing Plan Amounts*, by going to canada.ca/cra-forms-publications or by calling **1-800-959-8281**.

Work-space-in-the-home expenses

You can deduct expenses you paid in 2025 for the employment use of a work space in your home, as long as you had to pay for them under your contract of employment. These expenses must be used directly in your work and your employer has not reimbursed and will not reimburse you. You must also meet **one** of the following conditions:

- You worked more than 50% of the time from home for a period of **at least** four consecutive weeks

- You use the work space only to earn your employment income. You also have to use it on a regular and continuous basis for meeting clients, customers, or other people in the course of your employment duties

Keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, which has been completed by your employer.

You can deduct the part of your costs that relates to your work space, such as the cost of electricity, heating and maintenance. However, you **cannot** deduct mortgage interest, property taxes, home insurance or capital cost allowance.

To calculate the percentage of work-space-in-the-home expenses you can deduct, use a reasonable basis, such as the area of the work space divided by the total finished area (including hallways, bathrooms, and kitchens). For maintenance costs, it may not be appropriate to use a percentage of these costs. For example, if the expenses you paid (such as cleaning materials or paint) were to maintain a part of the house that was not used as a work space, then you cannot deduct any part of them. Alternatively, if the expenses you paid were to maintain the work space **only**, then you may be able to deduct all or most of them.

If your work space is in a rented house or apartment where you live, deduct the percentage of the rent as well as any maintenance costs you paid that relate to the work space.

The amount you can deduct for work-space-in-the-home expenses is limited to the amount of employment income remaining after all other employment expenses have been deducted. This means that you cannot use work space expenses to create or increase a loss from employment.

You can only deduct work space expenses from the income to which the expenses relate, and not from any other income.

If you cannot deduct all your work space expenses in the year, you can carry forward the expenses. You can deduct these expenses in the following year as long as you are reporting income from the same employer. However, you cannot increase or create a loss from employment by carrying forward work space expenses.

For more information, see archived Interpretation Bulletin IT-352R2, *Employee's Expenses, Including Work Space in Home Expenses*.

Monthly home Internet access fees

You can include your reasonable monthly home Internet access fees as part of your work-space-in-the-home expenses. You **cannot** claim the portion of fees related to the lease of a modem/router.

Chapter 4 – Transportation employees

In addition to the expenses listed in Chapter 3 beginning on page 9, you may also be able to claim the cost of meals and lodging (including showers) if you are an employee of a transport business, a railway employee, or other transport employee. This cost includes any GST and provincial sales tax (PST), or HST, you paid on these expenses. You may be able to get a rebate of the GST/HST you paid. For more information, see Chapter 11 on page 34.

Note

You cannot deduct the cost of travel to and from work, or other expenses, such as most tools and clothing.

Employees of a transport business

You can claim the cost of meals and lodging if you meet **all** of the following conditions:

- You work for an airline, railway, bus or trucking company, or for any other employer whose main business is transporting goods, passengers, or both
- You travel in vehicles your employer uses to transport goods or passengers
- You **regularly** have to travel away from the municipality and the metropolitan area (if there is one) where your employer's relevant establishment (home terminal) is located
- You **regularly** incur meal and lodging expenses while away from the municipality and the metropolitan area (if there is one) where your employer's relevant establishment (home terminal) is located. This means that you must generally be away from home overnight to do your job

You must reduce your claim for meal and lodging expenses by any non-taxable allowance or reimbursement you received or are entitled to receive from your employer.

For information on meal allowances and subsidized meals, see Information Circular IC73-21R9, *Claims for Meals and Lodging Expenses of Transport Employees*.

Railway employees

You can also claim the cost of meals and lodging when you meet **one** of the following conditions:

- You work away from home for a railway company as a telegrapher or station agent in a relief capacity, or carry out maintenance and repair work for the railway company
- You are a railway employee who works away from the municipality and the metropolitan area (if there is one) where your employer's relevant establishment (home terminal) is located. You also work at such a distant location that it is unreasonable for you to return daily to your home, where you support a spouse or common-law partner, or a dependant related to you

Other transport employees

Even if you do not meet all of the conditions listed in "Employees of a transport business" on this page, you may still be able to claim the cost of meals and lodging you incur in the

year. For example, you may be an employee whose main duty of employment is transporting goods, but your employer's main business is not transporting goods or passengers.

If you meet the conditions listed under "Travelling expenses" on page 9, you will qualify to use the simplified method to calculate your meal expenses described later on this page. For more information about those conditions, see Information Circular IC73-21R9.

If your employer has paid or will pay you for any part of your meal and lodging expenses, subtract that amount from your claim.

How to claim your expenses

Complete parts 1 and 2 of Form TL2, *Claim for Meals and Lodging Expenses*, and have your employer complete Part 3. Trips that qualify as an eligible trip for long-haul truck drivers should be reported in Part 2B, and all other trips should be reported in Part 2A. Claim your meal and lodging expenses on line 22900 of your income tax and benefit return. You do not have to send Form TL2 with your return, but keep it in case the CRA asks to see it later.

In the rest of this chapter, you will find information on how to calculate your meal and lodging expenses. For more information about meal and lodging expenses, see Information Circular IC73-21R9.

Meals

To calculate your meal expenses, you can use either the simplified or detailed method, or in certain situations, the batching method. These methods are explained in this section.

The maximum you can deduct for meal expenses is **50%** of your claim (unless you are a long-haul truck driver claiming meals for an eligible trip, as explained on the next page under "Meal expenses of long-haul truck drivers"). For example, if you use the simplified method, which is based on a daily meal rate of \$23 (includes sales tax) per meal, the most you can deduct is \$11.50 (\$23 × 50%) for each meal.

Under the simplified or detailed method, you can claim one meal every four hours from the departure time, to a maximum of three meals per day. For the purposes of calculating the maximum number of meals allowed, a day is considered to be a 24-hour period that begins at the departure time.

The simplified method

This is the easiest way to calculate your meal expenses since you do not have to keep receipts for your meals, although you do have to keep a detailed list of the trips you take in a record or log book.

The simplified method is based on a meal rate of **\$23** (includes sales tax) for each meal. Multiply the actual number of meals you ate by \$23 (to a maximum of **three** meals per day) and report that amount in the "Meals bought" column of **Part 2 – Trip and expense summary** on Form TL2.

Log book using the simplified method

Meals and lodging expenses – Simplified method							
Date	Departure time	Destination	Date	Check-in time	Hours away	Km driven	No. of meals
June 15	7:00	Montréal	June 17	16:00	57	900	7

The detailed method

If you choose to use the detailed method to calculate your meal expenses, you have to keep a record or log book itemizing each expense. You also have to keep receipts to support the amount you deduct.

Report the actual amount you spent on meals on Form TL2 in the “Meals bought” column of **Part 2 – Trip and expense summary**.

Log book using the detailed method

Meals and Lodging expenses – Detailed method					
Date	Time in or time out	Location	Restaurant	Type	Cost
June 15	9:30	Oshawa			
June 15		Belleville	Paradise Restaurant	Lunch	\$ 9.20
June 15		Montréal	Dunn's Restaurant	Dinner	\$ 22.99
June 15		Montréal	Quebec Motel	Lodging	\$ 64.50
June 16		Montréal	Dunn's Restaurant	Breakfast	\$ 5.75
June 16		Belleville	Paradise Restaurant	Lunch	\$ 17.45
June 16	16:00	Oshawa			

The batching method

When you are part of a work crew, such as on a train, your employer may provide you with cooking facilities. If you buy groceries and cook meals either by yourself or as a group, each person can claim up to **\$46** per day. As long as you do not claim more than this amount, you do not have to keep receipts. Report this amount on Form TL2 in the “Meals bought” column of **Part 2 – Trip and expense summary**.

Meal expenses of long-haul truck drivers

Meal and beverage expenses for long-haul truck drivers are deductible at a rate higher than the 50% permitted for other transportation employees. During eligible travel periods in 2025, meal and beverage expenses incurred are deductible at a rate of **80%**.

You are a **long-haul truck driver** if you are an employee whose main duty of employment is transporting goods by way of driving a long-haul truck, whether or not your employer's main business is transporting goods, passengers, or both.

A **long-haul truck** is a truck or tractor that is designed for hauling freight and has a gross vehicle weight rating of more than 11,788 kg.

An **eligible travel period** is a period during which you are away from your municipality or metropolitan area (if there is one) for at least 24 hours for the purpose of driving a long-haul truck that transports goods at least 160 kilometres from the employer's establishment to which you regularly report to work.

Lodging and showers

You can deduct your lodging expenses. The costs of showers are also considered to be deductible as part of lodging expenses for transportation employees who may have slept in the cab of their trucks rather than at hotels. Keep your receipts to support the amount you deduct.

Trips to the United States

You can claim the meal and lodging expenses you incur while performing your duties as a transport employee in the United States (U.S.). If you are using the simplified method of reporting meal expenses, you are entitled to **US \$23** per meal while in the U.S. The maximum you can deduct for meal expenses is **50%** of your claim, just as it is for trips within Canada (unless you are a long-haul truck driver, as described in “Meal expenses of long-haul truck drivers” on this page).

Calculate the total U.S. dollar amount of both the meal and lodging expenses incurred in the U.S. and convert these two totals to Canadian dollars by multiplying them by the Bank of Canada annual average U.S. exchange rate. You can get the exchange rate by going to **canada.ca/cra-exchange-rates** or by calling the CRA at **1-800-959-8281**. Provide a summary of your trips to the U.S. in Part 2 – Trip and expense summary of Form TL2. Attach a more detailed list of these trips to the form.

Chapter 5 – Employees working in forestry operations

You can deduct expenses for buying and using a power saw (including a chain saw or tree trimmer) if you meet **all** of the following conditions:

- You work in forestry operations
- You use a power saw to earn your employment income
- You had to pay for the power saw under your contract of employment and your employer will not be reimbursing you

You can deduct the cost of a power saw in the year you buy it. However, you have to subtract from the purchase price of the new power saw the value of any trade-in or any amount you received from the sale of any power saw that occur during the year.

You do not need to include a statement that breaks down the cost of running the power saw with your income tax and benefit return, but keep this statement with your records and receipts in case the CRA asks to see them. Also, keep with your records a copy of Form T2200, *Declaration of Conditions of Employment*, which has been completed by your employer.

Expenses to operate a power saw include any GST and provincial sales tax (PST), or HST, you paid. Enter your power saw expenses on line 22900 of your income tax and benefit return. You may be able to get a rebate of the GST/HST you paid. For more information, see Chapter 11 on page 34.

You **cannot** deduct expenses for travelling from your home to a place where you have to report to work on a regular basis. These expenses are personal. For example, you cannot deduct expenses for travelling from your home to a forest camp or to a cutting site if you go to that place on a regular basis. However, the motor vehicle expenses for travelling from a forest camp set up by your employer to the cutting site are incurred in the course of employment. These expenses are therefore deductible if you meet the conditions described in “Allowable motor vehicle expenses (including capital cost allowance)” on page 9.

You **cannot** deduct expenses for board and lodging at a place where you have to report to work on a regular basis. For example, if your employer has a work camp and you report there on a regular basis, you cannot deduct expenses for board and lodging (for example, camp fees) at the work camp since it is considered your employer’s place of business while you are working there.

You **cannot** deduct the cost of horses and harnesses, snowmobiles, or all-terrain vehicles because these are capital expenditures. Also, you cannot deduct capital cost allowance or interest you paid on money borrowed to buy these things.

Chapter 6 – Employed artists

This chapter has 2 parts. Part 1 deals with employed artists’ expenses in general and Part 2 deals with musical instrument expenses.

Part 1 – Artists’ employment expenses

You can deduct expenses you paid in 2025 to earn employment income from an artistic activity if you did **any** of the following:

- composed a dramatic, musical, or literary work
- performed as an actor, dancer, singer, or musician in a dramatic or musical work
- performed an artistic activity as a member of a professional artists’ association that the Minister of Canadian Heritage has certified
- created a painting, print, etching, drawing, sculpture, or similar work of art. For income tax purposes, it is not an artistic activity when you reproduce these items

These expenses include any GST and provincial sales tax (PST), or HST, you paid. You may be able to get a rebate of the GST/HST you paid. For more information, see Chapter 11 on page 34.

The amount you can claim is limited to the **lesser** of:

- a) the expenses you actually paid in 2025 **plus** any amounts you carried forward from previous years

b) the **lesser** of:

- \$1,000
- 20% of your employment income from artistic activities

minus the following amounts you deducted from your income from an artistic activity:

- musical instrument expenses (see Part 2 on the next page)
- interest for your motor vehicle (see the “Interest expense” section on page 26)
- capital cost allowance for your motor vehicle (see Chapter 10 on page 29)

If you have expenses you cannot claim because of the 20% or \$1,000 limit, you can deduct them from artistic income you earn in a future year.

Enter the amount you can deduct on the “Artists’ employment expenses” line of Form T777, *Statement of Employment Expenses*.

If you earn artistic income from more than one employer, total your income and expenses before you calculate your claim. In other words, you cannot make a separate claim for each employer.

Note

As an employed artist, you can deduct expenses described in Chapter 3, on page 9, if you meet the required conditions of an employee earning a salary. If this is the case, you can choose to deduct these expenses separately from the other expenses you paid to earn artistic income. However, choose the option that gives you the greatest deduction in 2025, since you cannot carry forward any unused expenses that you can deduct in 2025.

Example

You are a salaried employee whose employment income from artistic activities was \$20,000 in 2025. During 2025, you paid \$950 for advertising, \$1,550 for travelling, and \$350 for musical instrument expenses to earn this income. Since advertising and musical instrument expenses are not listed as deductible expenses of a salaried employee in Chapter 3, you will choose the option to deduct these expenses separately as artists' employment expenses because it will allow a greater deduction for 2025. You meet the requirements for deducting your travelling expenses as explained in Chapter 3 and your musical instrument expenses as discussed in Part 2 of this chapter, and you can claim your advertising expenses as an artist's expense.

You calculate your artists' employment expenses as follows:

The **lesser** of the following amounts:

- a) \$950 (advertising expenses)
- b) the **lesser** of the following amounts:
 - o \$1,000
 - o \$4,000 (20% of \$20,000)

minus \$350 (musical instrument expenses)

Amount b) is \$1,000 – \$350 = \$650.

The lesser of a) and b) is \$650.

You calculate the amount to enter on **line 22900** of your income tax and benefit return as follows:

Travelling expenses	\$ 1,550
Artists' employment expenses	650
Musical instrument expenses	350
Total to enter on line 22900	\$ 2,550

Deductible expenses

Although you cannot deduct the actual cost of your musical instrument, the amounts you **can** deduct for your musical instrument are:

- maintenance costs
- rental fees
- insurance costs
- capital cost allowance (if you own the instrument)

Enter the amount you can deduct on the "Musical instrument expenses" line and the "Capital cost allowance for musical instruments" line of Form T777 as appropriate.

However, the amount of musical instrument expenses you can deduct cannot be more than your income for the year from your employment as a musician after deducting all other employment expenses.

How to calculate your employment expenses

When you use your musical instrument for both employment and other purposes, you must divide the total instrument expenses you paid for the instruments among the different uses. For example, if you are using your instrument for employment, self-employment, and personal purposes, separate all three uses. You **cannot** deduct personal expenses.

Enter the total expenses for your employment income on line 22900 of your income tax and benefit return.

Use the self-employment part of your musical instrument expenses to calculate the net self-employment income you report on line 13700 of your income tax and benefit return. For more information, see Guide T4002, *Self-employed Business, Professional, Commission, Farming, and Fishing Income*.

Capital cost allowance

Use the back of Form T777 to calculate the amount of capital cost allowance you can claim for your musical instrument. For more information, see Chapter 10 on page 29.

Change in use

There are special rules for calculating the capital cost of depreciable property. These rules can apply when there is a change in use of the musical instrument from an income-earning purpose to some other purpose, or vice versa. For more information, see Chapter 10 on page 29 and Income Tax Folio S4-F14-C1, *Artists and Writers*.

Part 2 – Musical instrument expenses

If you are an employed musician, your employer may require you to provide your own musical instrument. If this is the case, you can deduct expenses you paid that relate to the musical instrument. Your musical instrument expenses include any GST and provincial sales tax (PST), or HST, you paid on these expenses. You may be able to get a rebate of the GST/HST you paid. For more information, see Chapter 11 on page 34.

Chapter 7 – Employed tradespersons

You may be able to deduct the cost of eligible tools you bought in 2025 to earn employment income as a tradesperson. This cost includes any GST and provincial sales tax (PST), or HST that you paid. You may be able to get a rebate of the GST/HST you paid. For more information, see Chapter 11 on page 34. When completing Form GST370, *Employee and Partner GST/HST Rebate Application*, see if Situation 6 on page 38 applies to you.

An **eligible tool** is a tool (including associated equipment such as a toolbox) that meets **all** of the following conditions:

- You bought it to use in your job as a tradesperson and it was not used for any purpose before you bought it
- Your employer certified it as being necessary for you to provide as a condition of, and for use in, your job as a tradesperson
- It is not an electronic communication device (like a cell phone) or electronic data processing equipment (unless the device or equipment can be used only for the purpose of measuring, locating, or calculating)

Your employer has to complete Form T2200, *Declaration of Conditions of Employment*. Have your employer complete question 12 of Part C of the form to certify that the tools being claimed were bought and provided by you as a condition of your employment as a tradesperson. Attach to Form T2200 a list of the tools you are claiming, as well as the related receipts. You do not have to include Form T2200, your receipts, or your list of tools with your income tax and benefit return, but keep them in case the CRA asks to see them.

Deduction for tools

If you were a tradesperson in 2025, use the following formula to calculate your maximum tradesperson's tools deduction for the cost of eligible tools you bought in 2025:

Maximum deduction for eligible tools is the lesser of the following amounts:

- a) \$1,000
- b) the amount, if any, determined by the formula

$$A - \$1,471$$

where

A = the lesser of the following amounts:

1. the total cost of eligible tools that you bought in 2025
2. your income from employment as a tradesperson for the year

plus the amount you received in 2025 under the Apprenticeship Incentive Grant and the Apprenticeship Completion Grant programs

minus the amount of any Apprenticeship Incentive Grant and Apprenticeship Completion Grant overpayments that you had to repay in 2025

Enter your claim on the "Tradesperson's tools expenses" line of Form T777, *Statement of Employment Expenses*.

Example

In 2025, you are employed as an electrician with ABC Company, and you need to purchase additional tools for your job. You paid \$2,500 for the tools you needed, and you earned \$45,000 in employment income in 2025 as an electrician.

You calculate your maximum deduction for eligible tools in 2025 as follows:

Maximum deduction for eligible tools is the lesser of the following amounts:

- a) \$1,000
- b) the amount, if any, determined by the formula

$$A - \$1,471$$

where

A = the lesser of:

1. \$2,500
2. \$45,000

Your maximum deduction for 2025 is the lesser of \$1,000 and \$1,029 (\$2,500 – \$1,471). You claim a deduction of \$1,000 on line 22900 of your 2025 income tax and benefit return.

Employed apprentice mechanics

You may also be able to deduct a part of the cost of eligible tools you bought in 2025 to earn employment income as an eligible apprentice mechanic.

You are an eligible apprentice mechanic if you meet **all** of the following conditions:

- You are registered in a program established under the laws of Canada or of a province or territory that leads to a designation under those laws as a mechanic **licensed to repair self-propelled motorized vehicles** (such as automobiles, aircraft, boats, or snowmobiles)
- You are employed as an apprentice mechanic

As an eligible apprentice mechanic, you must first calculate the tradesperson's tools deduction, if any, that you qualify for. You may qualify for this deduction if you bought eligible tools for your job in 2025. You can then complete the calculation described in the "Deduction for tools for an eligible apprentice mechanic," section on the next page to determine if you can also make this claim in 2025.

An **eligible tool** is a tool (including associated equipment such as a toolbox) that meets **all** of the following conditions:

- You bought the tool to use in your job as an apprentice mechanic and it was not used for any purpose before you bought it
- The tool is certified by your employer as being necessary for you to provide as a condition of, and for use in, your job as an apprentice mechanic

- The tool is not an electronic communication device (like a cell phone) or electronic data processing equipment (unless the device or equipment can be used only for the purpose of measuring, locating or calculating)

Your employer has to complete Form T2200, *Declaration of Conditions of Employment*. Have your employer complete question 13 of Part C of the form to certify that you bought and provided the tools you are claiming as a condition of your employment as an eligible apprentice mechanic. Attach to Form T2200 a list of the tools you are claiming, as well as the related receipts. You do not have to submit Form T2200 or your list of tools or receipts with your income tax and benefit return, but keep them in case the CRA asks to see them.

Deduction for tools for an eligible apprentice mechanic

Use the following formula to calculate your maximum deduction for the cost of eligible tools you bought in 2025 if you were an eligible apprentice mechanic at any time in 2025:

$$\text{Maximum deduction for eligible tools}^* = (A - B) + C$$

where

A = the total cost of eligible tools that you bought in 2025**

B = the lesser of:

1. the total cost of eligible tools that you bought in 2025 as calculated in A
2. the greater of:
 - \$1,000 + the Canada employment amount claimed on line 31260 of your income tax and benefit return (maximum \$1,471)

- 5% of:

- your employment income as an eligible apprentice mechanic
- **plus** the amount you received in 2025 under the Apprenticeship Incentive Grant and the Apprenticeship Completion Grant programs
- **minus** any claim you made for the tradesperson's deduction for tools, **and** the amount of any Apprenticeship Incentive Grant and Apprenticeship Completion Grant overpayments that you had to repay in 2025

C = the amount, if any, of the maximum deduction for eligible tools that you calculated for 2024 that you did **not** claim in 2024 (your carry forward amount from 2024, if any)

* This claim cannot be more than your net income for 2025 from all sources (the claim cannot create a non-capital loss).

** If you become employed as an eligible apprentice mechanic for the first time during 2025, you will be able to increase the value of **A** in the above calculation by the cost of eligible tools you bought during the last three months of 2024.

Enter your claim on the "Apprentice mechanic tools expenses" line of Form T777, *Statement of Employment Expenses*.

If you do not want to claim the maximum deduction, you can carry forward the unused amount for use against income earned in a future year. You can deduct the unused amount against any type of income in a future year even if you are no longer employed as an eligible apprentice mechanic at that time.

Example 1

The Motor Company hired you as a second-year eligible apprentice mechanic on November 1, 2024. Based on the tools you bought during 2024, you calculated your maximum deduction for eligible tools in 2024 to be \$3,500. You only claimed \$1,500 of this amount on your 2024 income tax and benefit return. In 2025, you received \$18,000 in income from your job as an eligible apprentice mechanic. Also, in 2025, you received \$1,000 under the Apprenticeship Incentive Grant program, and you received income of \$4,000 from other sources.

During September of 2025, you bought two eligible tools for \$4,500. You already calculated and claimed a tradesperson's tools deduction of \$1,000 for 2025. You had also claimed a Canada employment amount of \$1,471.

You calculated your maximum deduction for eligible tools in 2025 as follows:

$$\text{Maximum deduction for eligible tools} = (A - B) + C$$

where

A = \$4,500

B = the lesser of:

1. \$4,500
2. the greater of:
 - \$2,471 (\$1,000 + \$1,471)
 - \$900 (5% of [\$18,000 + \$1,000 - \$1,000])

C = \$2,000

Therefore, your maximum deduction in 2025 is \$4,029 [(\$4,500 - \$2,471) + \$2,000] since it is less than your net income of \$22,000 [(\$18,000 + \$1,000 - \$1,000) + \$4,000]. You claim your deduction of \$4,029 on line 22900 of your income tax and benefit return.

Disposition of tools

As a tradesperson (including an apprentice mechanic), you may decide to sell any or all of the eligible tools for which you claimed a deduction. If so, you must include, in your income in the year you sold the tool(s), the amount by which the proceeds of disposition of each tool is greater than the adjusted cost of the eligible tool sold. The proceeds of disposition of a tool is the amount of money you sold the tool for.

Adjust the original cost of each eligible tool you bought by using the following formula:

$$\text{Adjusted cost of an eligible tool} = D - (D \times [E/A])$$

where

D = the original cost of each eligible tool that you bought in 2025

E = the total of the tradesperson's tools deduction and apprentice mechanic tools deduction that you claimed in 2025*

A = the total cost of all eligible tools that you bought in 2025**

* In the case of the apprentice mechanic tools deduction, always assume there is no carryover amount ($C = 0$) when calculating **E**. See the "Deduction for tools for an eligible apprentice mechanic," section on page 17 for the meaning of **C**.

If you made a claim for both the tradesperson's tools deduction **and the apprentice mechanic tools deduction, use the **highest** value of **A**.

Complete a separate calculation for each eligible tool you bought in 2025.

Example 2

In example 1, you bought two eligible tools for \$4,500. Tool A and Tool B cost \$2,500 and \$2,000, respectively. You must calculate the adjusted cost of these tools. You calculate the adjusted cost of Tool A as follows:

$$\text{Adjusted cost of Tool A} = D - (D \times [E/A])$$

where

D = \$2,500

E* = \$1,000 + \$2,029 (from Example 1) = \$3,029

A = \$4,500

*The value of **E** is the total of the tradesperson's tools deduction of \$1,000 and the apprentice mechanic tools deduction of \$2,029, which is \$4,029 minus the carryover amount of \$2,000 from 2024 ($\$4,029 - \$2,000 = \$2,029$)

By applying this formula, the adjusted cost of Tool A is:

$$\$2,500 - (\$2,500 \times [\$3,029/\$4,500])$$

$$= \$2,500 - \$1,683$$

$$= \$817$$

The adjusted cost of Tool B is \$654:

$$\$2,000 - (\$2,000 \times [\$3,029/\$4,500]).$$

Assume that you sell Tool A in 2026 for \$1,500. The proceeds of disposition of Tool A (\$1,500) is greater than its adjusted cost (\$817). As a result, you would have to include the amount of \$683 ($\$1,500 - \817) as income on line 13000 of your 2026 income tax and benefit return. If the proceeds of disposition had been less than the adjusted cost of the tool, you would not have been able to deduct the difference.

Labour mobility deduction (for eligible tradespeople)

The Labour mobility deduction provides eligible tradespeople and apprentices working in the construction industry with a deduction for certain relocation expenses. To qualify for the labour mobility deduction (LMD), you must be an **eligible tradesperson** who had an **eligible temporary relocation** and incurred **temporary relocation expenses**.

This deduction allows an eligible tradesperson to deduct up to \$4,000 in eligible temporary relocation expenses per year. The maximum amount of eligible temporary relocation expenses that could be claimed for a particular eligible temporary relocation, including expenses carried forward from the previous year, is limited to 50% of the eligible tradesperson's employment income for the year from construction activities at the eligible temporary work location(s) in respect of that eligible temporary relocation.

Eligible tradesperson

An eligible tradesperson is a tradesperson or an apprentice who:

- has income from employment
- performs their duties of employment in construction activities

Construction activities include the erection, excavation, installation, alteration, modification, repair, improvement, demolition, destruction, dismantling or removal of all or any part of a building, structure, surface or sub-surface construction, or any similar property.

Eligible temporary relocation

To qualify as an eligible temporary relocation, the relocation must be temporary in nature and meet **all** of the following conditions:

- The relocation is undertaken by the eligible tradesperson to enable them to perform their duties of employment as an eligible tradesperson at one or more temporary work locations situated in the same locality
- Prior to the relocation, the eligible tradesperson ordinarily resided at a residence in Canada
- The eligible tradesperson was required to be away from their ordinary residence for at least 36 hours
- During this period, the eligible tradesperson took up temporary lodging in Canada
- The temporary lodging must be at least 150 kilometres closer to each temporary work location than the taxpayer's ordinary residence

Note

A temporary work location is a location in Canada that is:

- where the eligible tradesperson performs their duties of employment under a temporary employment contract
- outside the same locality (for example, a city) where the eligible tradesperson is ordinarily employed or carries on a business

The temporary relocation deduction is calculated for each eligible temporary relocation. This means that you may have multiple temporary relocation deductions in 2025.

Example

You are a tradesperson that ordinarily works and resides in Toronto. You accept a 3-week employment contract with a new employer that will require you to work on a construction site in Montreal. The distance between your ordinary residence in Toronto and the work location in Montreal is 550 kilometres. You rent a short-term apartment in Montreal that is 10 kilometres away from the work location. Your ordinary residence in Toronto is more than 150 kilometres further from the work site than the temporary lodging in Montreal is from the work site. On the basis of this distance, the relocation will qualify as an eligible temporary relocation for purposes of the LMD.

Eligible temporary relocation expenses

An eligible temporary relocation expense is a reasonable expense incurred by the eligible tradesperson in the prior year, the current year or prior to February 1 of the following year for:

- temporary lodging if, throughout the period of the temporary relocation, the eligible tradesperson maintains their ordinary residence as their principal place of residence and the ordinary residence remains available for their occupancy and is not rented to any other person
- transportation for one round trip between the location where the eligible tradesperson ordinarily resides and the temporary lodging
- meals consumed by the eligible tradesperson during the round trip between the ordinary residence and the temporary lodging

Note

If you have more than one temporary lodging during a temporary relocation (for example, you stay at two different hotels), the 150 kilometre-test described above will need to be satisfied for each temporary lodging.

A temporary relocation expense can be claimed in a tax year if the expense is incurred by the eligible tradesperson in the prior year, the current year or prior to February 1 of the following year provided the expense was not:

- deducted in a prior year
- otherwise deducted from the individual's income for any tax year (such as the moving expenses deduction)
- an expense for which the individual is entitled to receive a reimbursement, allowance, or any other form of assistance.

Completing Form T777, *Statement of Employment Expenses*

To make a claim for the labour mobility deduction complete the calculation found on page 2 of Form T777. Enter the amount calculated on page 1, line 11 of form T777.

There may be situations where the eligible tradesperson incurs eligible temporary relocation expenses that cannot be deducted under the labour mobility deduction rules in the year because the eligible tradesperson does not have enough employment income from the temporary relocation in the year or because the eligible expenses are more than the \$4,000 maximum annual deduction. In those situations, the unused eligible temporary relocation expenses for the year may be deducted from employment income earned for the same eligible temporary relocation in the following tax year.

Example

You begin an eligible temporary relocation on December 28, 2025. You incur eligible temporary relocation expenses in December 2025 of \$1,000 for a round trip flight between your ordinary residence and the temporary lodging, \$100 for meals during your travel time and \$400 for temporary lodging near the temporary work location for a total amount of \$1,500. You do not receive any employment income related to the temporary work location until January, 2026. Therefore, you would not be able to deduct your eligible temporary relocation expenses in 2025 since you do not have employment income in 2025 related to the temporary relocation. However, you could include the 2025 expenses when calculating your temporary relocation deduction for 2026.

For 2025, you would fill out the section "Line 11 – Calculation of labour mobility deduction" on your T777 as follows:

Line 11 – Calculation of labour mobility deduction for an eligible tradesperson			
The labour mobility deduction provides eligible tradespeople and apprentices working in the construction industry a deduction for certain temporary relocation expenses. Before completing this section, see "Labour mobility deduction" in Guide T4044, Employment Expenses, to help you determine if you are eligible to claim this deduction.			
Complete lines 33 to 40 below for each eligible temporary relocation. Include expenses incurred in the year or in the first 31 days of the following year.			
Eligible temporary relocation expenses (1)			
Eligible temporary relocation expenses carried forward from the previous year	0.00	33	
Transportation expenses (one round trip per eligible temporary relocation by the taxpayer between the ordinary residence and the temporary lodging)	+ 1,000.00	34	
Meal expenses incurred by the taxpayer for meals consumed during the round trip between the ordinary residence and the temporary lodging	+ 100.00	35	
Temporary lodging expenses (2)	+ 400.00	36	
Total eligible temporary relocation expenses	= 1,500.00	▶	1,500.00 37
Add lines 33 to 36.			
Employment income earned as an eligible tradesperson in the year at the temporary work location	0.00 × 50% =	0.00	38
Temporary relocation expenses available for deduction in the year:			
Enter whichever amount is less: line 37, line 38 or the amount you are claiming for this eligible temporary relocation. (maximum \$4,000)	0.00	▶	– 0.00 39
Unused temporary relocation expenses carried forward to the following year (3)			
Line 37 minus line 39	=	1,500.00	40
Enter the amount from line 39. If you have multiple eligible temporary relocations in the year, add the amount from line 39 for each eligible temporary relocation. Enter this amount on line 11 of page 1.	Total labour mobility deduction for the year (maximum \$4,000)		0.00 41

- You must include all of your eligible temporary relocation expenses incurred prior to February 1, 2026 in calculating your eligible temporary relocation expenses for 2025 and carry forward the portion that you cannot claim as a LMD in 2025 (in this case, \$1,500)
- You can claim your flight and other transportation expenses for one-round trip from your ordinary residence to the temporary lodging, however, other transportation expenses incurred while you are at the temporary work location are not eligible relocation expenses (for example, car rental while at the temporary work location)
- If you do not maintain your ordinary residence (for example, you sublet it to another person), only your transportation and meals for the round trip will qualify as eligible temporary relocation expenses

You will find on the next page information on how you can complete the section "Line 11 – Calculation of labour mobility deduction" on your T777 form **for 2026**.

In 2026, you earn \$7,000 of employment income at the temporary work relocation. For this temporary relocation, you have no additional transportation expenses as your round trip was paid for in 2025. However, you have incurred \$100 for meals consumed during the return flight between your temporary lodging and ordinary residence, and \$650 in temporary lodging

expenses totalling \$750, plus the carry forward from 2025 of \$1,500. Your total eligible temporary relocation expenses would be \$2,250. You claimed your round trip flight in the carry forward at line 33 of your Form T777.

For 2026, you would fill out the section “Line 11 – Calculation of labour mobility deduction” of your T777 as follows:

Line 11 – Calculation of labour mobility deduction for an eligible tradesperson			
The labour mobility deduction provides eligible tradespeople and apprentices working in the construction industry a deduction for certain temporary relocation expenses. Before completing this section, see "Labour mobility deduction" in Guide T4044, Employment Expenses, to help you determine if you are eligible to claim this deduction.			
Complete lines 33 to 40 below for each eligible temporary relocation. Include expenses incurred in the year or in the first 31 days of the following year.			
Eligible temporary relocation expenses (1)			
Eligible temporary relocation expenses carried forward from the previous year	1,500.00	33	
Transportation expenses (one round trip per eligible temporary relocation by the taxpayer between the ordinary residence and the temporary lodging)	+ 0.00	34	
Meal expenses incurred by the taxpayer for meals consumed during the round trip between the ordinary residence and the temporary lodging	+ 100.00	35	
Temporary lodging expenses (2)	+ 650.00	36	
Total eligible temporary relocation expenses	= 2,250.00	▶	2,250.00 37
Add lines 33 to 36.			
Employment income earned as an eligible tradesperson in the year at the temporary work location	7,000.00	× 50% =	3,500.00 38
Temporary relocation expenses available for deduction in the year:			
Enter whichever amount is less: line 37, line 38 or the amount you are claiming for this eligible temporary relocation.	(maximum \$4,000)	2,250.00	▶ — 2,250.00 39
Unused temporary relocation expenses carried forward to the following year (3)			
Line 37 minus line 39			= 0.00 40
Enter the amount from line 39. If you have multiple eligible temporary relocations in the year, add the amount from line 39 for each eligible temporary relocation. Enter this amount on line 11 of page 1.	Total labour mobility deduction for the year (maximum \$4,000)		2,250.00 41

Chapter 8 – Employees working at home

Employees who worked at home in 2025 and meet certain conditions, will be eligible to deduct home office expenses (including work-space-in-the-home expenses, office supplies and other expenses such as employment use of a cell phone or long distance calls for employment purposes).

If you worked from home to earn employment income and business income, you can only deduct home office expenses from the income (employment or business) to which the expenses relate, but you cannot deduct the same amounts from both employment and business income. For information about the conditions which must be met by self-employed persons, see Income Tax Folio S4-F2-C2, *Business Use of Home Expenses*.

Who is eligible

You are eligible to deduct home office expenses you paid if you meet the following conditions:

- You worked more than 50% of the time from home for a period of **at least** four consecutive weeks
- The expenses were directly related to your work

However, you **cannot** deduct home office expenses if all of your expenses were or will be reimbursed by your employer.

What you can claim

You will find below examples of eligible and non-eligible home office expenses. For additional home office expenses you may be able to deduct, go to **canada.ca/cra-home-workspace-expenses**.

Eligible expenses

Eligible expenses include the following:

- rent paid for a house or apartment where you live
- electricity, heat, water, or the utilities portion of your condominium fees
- home Internet access fees
- maintenance (such as minor repairs, cleaning supplies, light bulbs or paint)
- supplies (such as stationery items, pens, folders, sticky notes, postage, toner or ink cartridges)
- employment use of a basic cell phone service plan
- long distance calls for employment purposes

If you are a **commission employee**, you can also claim expenses that reasonably relate to earning commission income for the following:

- property taxes
- home insurance
- lease of items (such as a cell phone, computer, laptop, tablet or fax machine)

Non-eligible expenses

You **cannot** claim any of the following expenses:

- capital cost allowance
- mortgage interest
- principal mortgage payments
- home Internet connection fees or the portion of fees related to the lease of a modem/router
- capital expenses (including replacing windows, or flooring, furnace)
- office equipment (including printer, fax machine, calculator, briefcase, laptop case, or bag)
- monthly basic rate for a landline telephone
- cell phone connection, or license fees
- purchase of items such as a cell phone, computer, laptop, tablet, or fax machine.
- computer accessories (including monitor, mouse, keyboard headset, microphone, speakers, webcam, or router)
- other electronics (such as television, smart speaker, or voice assistant)
- furniture (including desk or chair)

To claim your employment expenses, complete Form T777, *Statement of Employment Expenses*, and Form T2200, *Declaration of Conditions of Employment*.

For more information on Form T777, see Chapter 2 – Employees earning commission income or Chapter 3 – Employees earning a salary.

Calculating your work-space-in-the-home expenses

You will need to calculate your employment-use percentage. To do so you must determine:

- the type of work space used
- the percentage of your home that you use as a work space
- the number of hours you use the space for work (this does not apply if you are using a designated space)
- the number of workers that worked from home

Type of work space

Common area

A common area is a space that has other purposes besides your work (for example, working at a kitchen table or using the family computer room). If you worked in a common area at home, you have to determine the employment-use of the space using the number of hours you work.

Designated room

A designated room is a space you use only for work (for example, a spare room). If you worked in a designated room for the period you worked at home, you do not need to consider the number of hours you use the space for work.

One employee working in the home

If only one person in your home uses a work space, that person can claim the employment-use of the work space.

Example

You work from home and have a spare room that you only use for work. Your spare room represents 14% of your apartment. As you have a dedicated space, you will multiply your allowable expenses by 14% to determine your employment-use amount.

Another option is for you to use your dining room table. Your dining room represents 14% of the total space of your apartment and is used for work for 40 hours out of a total 168 hours in the week.

To determine your employment-use amount, you must first determine your employment-use percentage. This is how you will calculate the percentage:

$$(40 \text{ hours} \div 168 \text{ hours}) \times 14\% = 3.33\%$$

You will multiply your allowable expenses by 3.33% to determine your employment-use amount.

Multiple employees working in the same home

Different work spaces

If there are multiple employees working in the same home and using different work spaces, each employee will calculate the employment expenses separately as shown in the section "One employee working in the home."

Sharing a designated room

If there is more than one employee working in the same home sharing a designated work space, each employee will calculate the employment use of the work space they are sharing.

Example

Nneka and Sergio both worked from home and they shared a designated office in their home (office used only for work). The designated office space represents 12% of the total finished area of their home and they each use half of the space to do their work. They both meet all the eligibility criteria.

$$\begin{aligned} &12 \text{ m}^2 \text{ (office area)} \\ &\times 50\% \text{ (portion of the space they each used)} \\ &= 6 \text{ m}^2 \text{ each} \\ &\div 100 \text{ m}^2 \text{ (total finished area of the house)} \\ &\times 100 \text{ (to convert into a percentage)} \\ &= 6\% \text{ (percentage of home used for their work space)} \end{aligned}$$

Nneka and Sergio have a designated work space so the number of hours they work does not affect the calculation.

They each use 6% of the home for their work space.

Nneka and Sergio will each multiply their allowable expenses by 6% to determine their employment-use amount.

Sharing a common work area

When there is more than one employee working in the same home and sharing a common work space, each employee will calculate their employment use of the work space they are sharing.

Example

Sam and Terry rent an eight-room house. They have been working from home using their dining room table and they each use half of the space. They both meet all of the eligibility criteria.

The dining room is 12m².

$$\begin{aligned} &12 \text{ m}^2 \text{ (dining room)} \\ &\times 50\% \text{ (portion of the space they each used)} \\ &= 6 \text{ m}^2 \text{ each} \\ &\div 100 \text{ m}^2 \text{ (total finished area of the house)} \\ &\times 100 \text{ (to convert into a percentage)} \\ &= 6\% \text{ (percentage of home used for their work space)} \end{aligned}$$

Sam worked 40 hours a week and Terry worked 25 hours

per week, both at the dining table. Since they both used the table (common area) for work, they need to determine their employment-use percentage as follows:

For Sam

$$\begin{aligned} &6\% \text{ (percentage of home used for his work space)} \\ &\times 23.8\% \text{ (40 hours worked divided by 168 total hours per week: } 40 \div 168) \\ &\times 100 \text{ (to convert into a percentage)} \\ &= 1.4\% \text{ (employment use percentage)} \end{aligned}$$

Sam will multiply his allowable expenses by 1.4% to determine his employment use amount.

For Terry

$$\begin{aligned} &6\% \text{ (percentage of home used for her work space)} \\ &\times 14.9\% \text{ (25 hours worked divided by 168 total hours per week } 25 \div 168) \\ &\times 100 \text{ (to convert into a percentage)} \\ &= 0.9\% \text{ (employment use percentage)} \end{aligned}$$

Terry will multiply her allowable expenses by 0.9% to determine her employment-use amount.

Individuals working in the home who earn employment and business income

If you use the same work space to earn employment and business income, you will need to divide your work-space-in-the-home expenses on a reasonable basis between employment and business use.

Change of work space

If you use different work spaces in your home, or you move to a new property, you will need to claim the expenses you paid for each work space separately.

Example

You are a salaried employee who worked from home from January 1 until December 31, 2025. You used a designated room that was 20% of the total square footage of your rented two bedroom apartment. You paid the following expenses for this period:

- Supplies: \$75
- Cell phone, long distance calls: \$180
- Electricity: \$1,500
- Heat: \$800
- Water: \$1,000
- Internet: \$400
- Maintenance: \$60 (you painted an unfinished room and used it as your designated work space)
- Rent: \$7,500

During that period you earned \$4,000 from your employment. You calculate your employment-use amount and complete your Form T777 as follows:

You total your electricity, heat, water, Internet (\$3,700) and add your rent (\$7,500): $\$3,700 + \$7,500 = \$11,200$.

You then multiply this amount by 20%: $\$11,200 \times 20\% = \$2,240$.

You can add your maintenance costs of \$60 to this amount because you are using a designated space: $\$2,240 + \$60 = \$2,300$ (employment-use amount). Because of space limitations, the entire form is not reproduced.

Expenses			
Accounting and legal fees	8862		1
Advertising and promotion	8520	+	2
Allowable motor vehicle expenses (see chart for line 3 below)	9281	+	3
Food, beverages, and entertainment expenses	$\times 50\% = 8523$	+	4
Lodging	9200	+	5
Parking	8910	+	6
Office supplies (postage, stationery, ink cartridge, etc.)	8810	+	75,00 7
Other expenses (employment use of a cell phone, long distance calls for employment purposes, etc.) (specify): Cell phone	9270	+	180,00 8
Tradesperson's tools expenses (maximum \$1,000)	1770	+	9
Apprentice mechanic tools expenses	9131	+	10
Labour mobility deduction (see chart for line 11 on page 2) (maximum \$4,000)	1771	+	11
Musical instrument expenses	1776	+	12
Capital cost allowance for musical instruments (see Part A on page 4)	1777	+	13
Artists' employment expenses	9973	+	14
Add lines 1 to 14.		=	255,00 15
Work-space-in-the-home expenses (see chart for line 16 on page 3)	9945	+	2,300,00 16
Line 15 plus line 16 Enter this amount on line 22900 of your return.	Total expenses	9368 =	2,555,00 17

Line 16 – Calculation of work-space-in-the-home expenses

Electricity, heat, water, home Internet access fees	3,700 00	42		
Maintenance (cleaning supplies, light bulbs, etc.)	+ 60 00	43		
Home insurance (commission employees only)	+	44		
Property taxes (commission employees only)	+	45		
Other expenses (rent, etc.) (specify): Rent	+ 7,500 00	46		
Add lines 42 to 46.	= 11,260 00	47		
Total employment-use amount (see example below) (4)	2,300 00	48		
Amount carried forward from the previous year	+	49		
Line 48 plus line 49	= 2,300 00	▶	2,300 00	50
Enter your employment income.	4,000 00	51		
Enter any amounts from line 15 on page 1 and lines 20700 and 21200 of your return that relate to your employment income.	- 255 00	52		
Line 51 minus line 52 (if negative, enter "0")	= 3,745 00	▶	- 3,745 00	53
Enter whichever amount is less: line 50 or line 53.				
Enter this amount on line 16 of page 1.	Work-space-in-the-home expenses	2,300 00	54	
Line 50 minus line 53 (if negative, enter "0")	Work-space-in-the-home expenses available to use in future years		= 0 00	55

(4) You must calculate your employment-use amount.

Chapter 9 – Motor vehicle expenses

You can deduct expenses you paid for the use of a motor vehicle you use to earn employment income. Your motor vehicle expenses include any GST and provincial sales tax (PST), or HST, you paid on these expenses.

You may be able to get a rebate of the GST/HST you paid. For more information, see Chapter 11 on page 34.

If you are an employee earning **commission income**, you can deduct expenses for your vehicle as long as you meet the conditions outlined in the section called "Employment conditions" on page 6.

If you are an employee earning a **salary**, you can deduct expenses for your vehicle as long as you meet the conditions outlined in the "Allowable motor vehicle expenses (including capital cost allowance)" section on page 7.

Keeping records

Since you can deduct motor vehicle expenses only when they are reasonable and you have receipts to support them, keep a record for each vehicle you used. The record should include the total kilometres you drove as well as the kilometres you drove to earn employment income. The record for each trip you took to earn employment income should list the date, destination, purpose, and number of kilometres. Record the odometer reading of each vehicle at the beginning and again at the end of the year.

If you change motor vehicles during the year, record the odometer reading of each vehicle when you buy, sell, or trade it. Write down the dates as well.

Deductible expenses

The types of expenses you can deduct include:

- fuel (such as gasoline, propane, and oil) and electricity
- maintenance and repairs
- insurance
- licence and registration fees
- capital cost allowance (see Chapter 10 on page 29)
- eligible interest you paid on a loan used to buy the motor vehicle (see the "Interest expense" section on the next page)
- eligible leasing costs (see the "Leasing costs" section on page 27)

Enter these amounts in the "Calculation of allowable motor vehicle expenses" area of Form T777.

What type of vehicle you own

For income tax purposes, there are two types of vehicles you should know about. They are **motor vehicles** and **passenger vehicles** (or **zero-emission passenger vehicles**).

The type of vehicle you use may affect the expenses you can deduct. If you own or lease a passenger vehicle or a zero-emission passenger vehicle, there may be a limit on the amounts you can deduct for capital cost allowance (CCA), interest, and leasing costs. Interest expense is

explained on this page, leasing costs on page 27, and the limits for CCA on page 31.

Motor vehicle

A motor vehicle is an automotive vehicle designed or adapted for use on highways and streets. It is not a trolley bus, or a vehicle designed or adapted to be operated exclusively on rails.

Passenger vehicle

A passenger vehicle is a **motor vehicle** (other than a zero-emission vehicle) designed or adapted primarily to carry people on highways and streets. It seats a driver and no more than eight passengers. Most cars, station wagons, vans, and some pick-up trucks are passenger vehicles. They are subject to the limits for CCA, interest, and leasing costs.

A passenger vehicle does **not** include:

- an ambulance
- clearly marked police and fire emergency-response vehicles
- clearly marked emergency medical services vehicles used to carry paramedics and their emergency medical equipment
- a motor vehicle you bought to use mainly (more than 50% of the time) as a taxi, a bus to transport passengers, or a hearse in a funeral business
- a motor vehicle you bought to sell, rent, or lease in a motor vehicle sales, rental, or leasing business
- a motor vehicle (except a hearse) you bought to use in a funeral business to transport passengers
- certain vans, pick-up trucks, or similar vehicles

The “Vehicle definitions chart” on the following page will help you determine what type of vehicle you have. It does not cover every situation, but it should give you a better idea of how the CRA defines vehicles you bought or leased.

Zero-emission passenger vehicle (ZEPV)

A ZEPV means an automobile of a taxpayer that is included in Class 54. The following are special rules applicable to a ZEPV:

- The capital cost of a ZEPV will be restricted to a prescribed amount for the purpose of calculating the CCA. For 2025, the prescribed amount will be \$61,000, plus the federal and provincial sales taxes that would have been paid if the ZEPV was purchased for \$61,000 (before the application of federal and provincial sales tax)
- When a ZEPV whose capital cost is subject to the above restriction, is disposed of, its proceeds of disposition will be adjusted. Specifically, the proceeds of disposition will be multiplied by a fraction equal to the ratio of the capital cost (that is, the prescribed amount) of the vehicle divided by the actual cost of the vehicle

Note
For dispositions made after July 29, 2019, the actual cost of the vehicle will be adjusted for payment or repayment of any government assistance.

Joint ownership

If you and somebody else own or lease the same passenger vehicle, the limits on CCA, interest, and leasing costs still apply, and in case of zero-emission passenger vehicles, the limits on CCA and interest will apply. The total amount the joint owners can claim cannot be more than the amount that would be allowed if only one person had owned or leased the vehicle.

Employment use of a motor vehicle

If you use a motor vehicle for both employment and personal use, you can deduct only the percentage of expenses related to earning income. To support the amount you can deduct, keep a record of both the total kilometres you drove and the kilometres you drove to earn employment income. The CRA considers driving back and forth between home and work as personal use.

If you use **more than one motor vehicle** to earn employment income, calculate the expenses for each vehicle separately.

Interest expense

You can deduct interest you paid on money you borrowed to buy a motor vehicle, passenger vehicle, or zero-emission passenger vehicle that you use to earn employment income. Include the interest you paid when you calculate your allowable motor vehicle expenses.

If you use a **passenger vehicle** or a **ZEPV** to earn employment income, there is a **limit** on the amount of interest you can deduct when buying it. Use the “Available interest expense for passenger vehicles or zero-emission passenger vehicles chart” to calculate the amount you can deduct. Enter your available interest expense amount on line 26 of Form T777.

Available interest expense for passenger vehicles or zero-emission passenger vehicles chart	
Total interest paid in the year	\$ _____ A
\$10 × the number of days for which interest was paid	\$ _____ B
The available interest expense is the lesser of amount A and amount B.	

Vehicle definitions chart			
Type of vehicle	Seating capacity (includes driver)	Percentage of business use in year bought or leased	Vehicle definition
Coupe, sedan, station wagon, sports car, or luxury car	1 to 9	1% to 100%	passenger
Pick-up truck used to transport goods or equipment	1 to 3	more than 50%	motor
Pick-up truck (other than above)*	1 to 3	1% to 100%	passenger
Pick-up truck with extended cab used to transport goods, equipment, or passengers	4 to 9	90% or more	motor
Pick-up truck with extended cab (other than above)*	4 to 9	1% to 100%	passenger
Sport-utility used to transport goods, equipment, or passengers	4 to 9	90% or more	motor
Sport-utility (other than above)	4 to 9	1% to 100%	passenger
Van or minivan used to transport goods or equipment	1 to 3	more than 50%	motor
Van or minivan (other than above)	1 to 3	1% to 100%	passenger
Van or minivan used to transport goods, equipment, or passengers	4 to 9	90% or more	motor
Van or minivan (other than above)	4 to 9	1% to 100%	passenger

*A vehicle in this category is considered a **motor vehicle** if it is used mainly to transport goods, equipment, or passengers while earning or producing income at a remote work location or at a special worksite that is at least 30 kilometres from the nearest community with a population of at least 40,000.

Note

A passenger vehicle or a motor vehicle may also qualify as a zero-emission vehicle or a zero-emission passenger vehicle.

Leasing costs

You can deduct amounts you paid to lease a motor vehicle you used to earn employment income. Include the leasing costs you paid when you calculate your allowable motor vehicle expenses.

If you use a passenger vehicle to earn employment income, there is a limit on the amount of leasing costs you can deduct.

Use the chart on the next page to calculate your eligible leasing costs for a passenger vehicle leased after December 31, 2000. Enter your eligible leasing costs on line 27 of Form T777.

Note

Most leases do not include items such as insurance, maintenance, and taxes. You have to pay these expenses separately. Therefore, list these expenses separately on Form T777. Do not include them in your calculation of eligible leasing costs.

If the lease agreement for your passenger vehicle does include items such as insurance, maintenance, and taxes, include them as part of the lease charges in your calculation.

Repayments and imputed interest

When you lease a passenger vehicle, you may have either a repayment owing to you, or you may have **imputed interest**. If this is your situation, you cannot use the leasing chart below. Instead, contact the CRA.

Imputed interest is interest that would be owing to you if you were paid interest on money you deposited to lease a passenger vehicle. You can only consider imputed interest as leasing costs on a passenger vehicle if **all** the following apply:

- You made one or more deposits for the leased passenger vehicle
- All deposits are refundable
- The deposits total is more than \$1,000

Eligible leasing costs for passenger vehicles leased after December 31, 2000

Enter the total lease charges paid for the vehicle in 2025.....	\$		1
Enter the total lease payments deducted for the vehicle before 2025.....	\$		2
Enter the total number of days the vehicle was leased in 2025 and previous years.....			3
Enter the manufacturer's list price.....	\$		4
\$44,706* + GST** and PST** or HST**	\$		5
Enter the amount from line 4 or line 5, whichever is more. \$ _____ × 85%	\$		6
(\$1,100*** + GST** and PST** or HST**) × line 3 =	\$	_____ ÷ 30 = \$ _____ – line 2	7
(\$38,000**** + GST** and PST** or HST**) × line 1 =	\$	_____ ÷ line 6	8

Your eligible leasing cost is the lower of the amounts on line 7 and line 8.

* For leases entered into in 2024, this amount is \$43,529. For leases entered into in 2023, this amount is \$42,353. For leases entered into in 2022, this amount is \$40,000. For leases entered into in 2021 or before, the amount is \$35,294.

** Use a GST rate of 5% or the HST rate applicable to your province.

*** For leases entered into in 2024, this amount is \$1,050. For leases entered into in 2023, this amount is \$950. For leases entered into in 2022, this amount is \$900. For leases entered into in 2021 or earlier, this amount is \$800.

**** For leases entered into in 2024, this amount is \$37,000. For leases entered into in 2023, this amount is \$36,000. For leases entered into in 2022, this amount is \$34,000. For leases entered into in 2021 or earlier, this amount is \$30,000.

Example

On February 1, 2025, you, a resident of Ontario, began leasing a car that meets the definition of a passenger vehicle. You used the car to earn employment income. You will complete the chart below using the following information for 2025:

- Monthly lease payment\$ 500
- Lease payments made for 2025\$ 5,500
- Number of days the car was leased in 2025 335
- Manufacturer's suggested list price\$28,000
- HST (\$44,706 × 13% = \$5,812)\$ 5,812
- HST (\$1,100 × 13% = \$143)\$ 143
- HST (\$38,000 × 13% = \$4,940)\$ 4,940

Total lease charges paid for the vehicle in 2025	\$	5,500	1
Total lease payments deducted for the vehicle before 2025.....	\$	0	2
Total number of days the vehicle was leased in 2025 and previous years.....		335	3
The manufacturer's list price.....	\$	28,000	4
\$44,706 + \$5,812	\$	50,518	5
Enter the amount from line 4 or line 5, whichever is more. .. \$ 50,518 × 85%	\$	42,940	6
(\$1,100 + \$143= \$1,243) × 335 =	\$	416,405 ÷ 30 = \$ 13,880 – line 2	7
(\$38,000+ \$4,940= \$42,940) × \$5,500 =	\$	236,170,000 ÷ 42,940	8

You would enter \$5,500 (the lower of the amounts on line 7 and line 8) on line 27 of Form T777.

Chapter 10 – Capital cost allowance (depreciation)

You cannot deduct the cost of a property, such as a vehicle or musical instrument, that you use to earn your income. However, you can deduct a percentage of the property's cost. The part of the cost you can deduct or claim is called **depreciation** or, for income tax purposes, **capital cost allowance (CCA)**.

Definitions

You may need to know the meaning of certain terms before you can determine your claim for CCA.

Accelerated investment incentive property (AIIP) – a property (other than property included in class 54 or 55) that meets the following conditions:

- You acquired it after November 20, 2018, and under proposed changes before 2025, and becomes available for use before 2028. Under proposed changes, property acquired after 2024 generally is reaccelerated investment incentive property (RIIP). For more information see the definition of RIIP later on this page.
- No CCA deduction or terminal loss has been claimed on the property before you acquired it, if the property was acquired from a non-arm's length party or on a tax-deferred rollover.

Accelerated investment incentive will provide an enhanced first-year allowance for certain eligible property that is subject to the CCA rules. In general, the incentive will be made up of two elements:

- applying the prescribed CCA rate for a class to up to one-and-a-half times the net addition to the class for the year
- suspending the existing CCA half-year rule (and equivalent rules for Canadian vessels and class 13 property)

Available for use – generally, the earlier of:

- the time the property is first used by the claimant to earn income
- the time the property is delivered or is made available to the claimant and is capable of producing a saleable product or service

Capital cost – the amount on which you first claim CCA. Generally, the capital cost of the property is what you pay for it. Capital cost also includes items such as delivery charges, the goods and services tax (GST) and provincial sales tax (PST), or the harmonized sales tax (HST).

Depreciable property – any property on which you can claim CCA. Depreciable properties are usually grouped into classes. Your CCA claim is based on the class of your property.

Fair market value – usually the highest dollar value you can get for your property in an open and unrestricted market, between a willing buyer and a willing seller who are acting independently of each other.

Proceeds of disposition – usually the amount you received or will receive for your property. In most cases, it

refers to the sale price of the property. When you trade in a property to buy a new one, your proceeds of disposition is the amount you receive for the trade-in.

Reaccelerated investment incentive property (RIIP) – under proposed changes, a RIIP is a property (other than property included in class 54 or 55) that is eligible for an enhanced first-year allowance under the CCA rules. The property may be eligible if it meets the following conditions:

- You acquired it after 2024 and becomes available for use before 2034.
- No CCA deduction or terminal loss has been claimed on the property before you acquired it, if the property was acquired from a non-arm's length party or on a tax-deferred rollover.

Reaccelerated investment incentive will provide an enhanced first-year allowance for certain eligible property that is subject to the CCA rules. In general, the incentive will be made up of two elements:

- applying the prescribed CCA rate for a class to a grossed up net addition to the class for the year
- generally suspending the existing CCA half-year rule

Undepreciated capital cost (UCC) – the balance of the capital cost left for further depreciation at any given time. The amount of CCA you claim each year will lower the UCC of the property.

Claiming CCA

If you are an employee earning **commission income**, you can claim CCA on your vehicle if you meet the conditions outlined in the section called "Employment conditions" on page 6.

If you are an employee earning a **salary**, you can claim CCA on your vehicle if you meet the conditions outlined in the section called "Allowable motor vehicle expenses (including capital cost allowance)" on page 7.

If you are an **employed musician**, you can claim CCA on a musical instrument if you had to provide the musical instrument as a condition of employment.

You do not have to claim the maximum amount of CCA in any given year. You can claim any amount you want, from zero up to the maximum allowed for the year.

Use the back of Form T777, *Statement of Employment Expenses*, to calculate your CCA claim. You will find two copies of Form T777 in this guide.

For more information on CCA, see archived Interpretation Bulletin IT-522R, *Vehicle, Travel and Sales Expenses of Employees*.

Classes of depreciable properties

Depreciable properties are usually grouped into classes. To claim CCA, you should know about the following classes.

Class 8

The maximum CCA rate for this class is 20%. Musical instruments are included in Class 8.

Class 10

The maximum CCA rate for this class is 30%.

You include motor vehicles and some passenger vehicles in Class 10. Motor vehicles and passenger vehicles are defined in the "What type of vehicle you own" section on page 25.

Your passenger vehicle can belong to Class 10 or Class 10.1. You only include a passenger vehicle in Class 10.1 if it meets certain conditions. These conditions are explained in the following section.

Class 10.1

The maximum CCA rate for this class is 30%.

The maximum capital cost of each vehicle that may be included in Class 10.1 is now \$38,000 plus GST and PST, or HST.

Include your passenger vehicle in Class 10.1 if it meets **one** of the following conditions:

- You acquired it after December 31, 2000, and before January 1, 2022, and it cost you more than \$30,000
- You acquired it after December 31, 2021, and before January 1, 2023, and it cost you more than \$34,000,
- You acquired it after December 31, 2022, and before January 1, 2024, and it cost you more than \$36,000
- You acquired it after December 31, 2023, and before January 1, 2025, and it cost you more than \$37,000
- You acquired it after December 31, 2024, and it cost you more than \$38,000

If your passenger vehicle does not meet **any** of these conditions, then it belongs in Class 10.

To determine what class your passenger vehicle belongs to, do **not** include the GST and PST or HST when calculating the cost of the vehicle.

The following compares the two CCA classes for vehicles:

	Class 10	Class 10.1
CCA rate	30%	30%
Group all vehicles in one class	yes	no
List each vehicle separately	no	yes
Maximum capital cost	no	yes
50% rule on acquisitions	yes	yes
Half-year rule on sale	no	yes
Recapture on sale or trade-in	yes	no
Terminal loss on sale or trade-in	no	no

Because of the differences between Class 10 and Class 10.1, the CCA schedule on the back of Form T777, *Statement of Employment Expenses*, is divided into two separate parts (Part A and Part B).

Use **Part A** to calculate CCA for both Class 8 and Class 10 property, since the rules for these two classes are similar.

Use **Part B** to calculate CCA on Class 10.1 property only. List each Class 10.1 vehicle on a separate line. Calculate CCA separately for each vehicle listed.

Classes 54 and 55 (zero-emission vehicles)

There are two CCA classes for zero-emission vehicles (ZEV):

- Class 54 for ZEVs, including zero-emission passenger vehicles, excluding taxicabs and motor vehicles used for lease or rent
- Class 55 for ZEVs that are motor vehicles used for lease or rent or taxicabs

The CCA rate is 30 % for class 54 and 40% for class 55. However, an enhanced first year deduction may apply for certain eligible ZEVs acquired after March 18, 2019, and under proposed changes, before 2025, that become available for use before 2028.

Under proposed changes, an enhanced first year deduction (up to a maximum of 100%) may apply for certain ZEVs acquired after 2024, that become available for use before 2034.

For class 54, the capital cost was deductible up to a limit of \$61,000 plus sales tax for 2023 and 2024, and will remain the same for 2025, for zero-emission passenger vehicles. For 2022, the deductible limit was \$59,000 and for 2019 to 2021, it was \$55,000. The limit will be reviewed annually and special rules will apply in the year of disposition for such vehicles where the capital cost exceeds that limit.

Eligibility criteria for zero-emission vehicles

To be eligible under Class 54 or Class 55, a zero-emission vehicle (ZEV) needs to meet **all** the following criteria:

- It is a ZEV acquired after March 18, 2019, or a **used** ZEV acquired after March 1, 2020, that became available for use before 2028, or under proposed changes before 2034, and included in Class 54 or 55
- An amount has not been paid by the Government of Canada under the federal purchasing incentive
- It is a vehicle that was not subject to a prior CCA or terminal loss claim, it cannot have been acquired by a taxpayer on a tax-deferred rollover basis, nor previously owned or acquired by the taxpayer or a non-arm's length person or partnership
- It is essentially a motor vehicle for use on streets and highways (excluding a trolley bus or vehicle operated exclusively on rails)
- It is a plug-in hybrid with battery capacity of at least 7 kWh or is fully powered by one of the following:
 - electricity
 - hydrogen

Enhanced first-year CCA

An enhanced first-year CCA with the following phase-out period is available for property that became available for use:

- 100% after March 18, 2019, and before 2024
- 75% after 2023 and before 2026
- 55% after 2025 and before 2028

Under proposed changes, the above phase-out period only applies to property acquired after March 18, 2019 and before 2025.

Also, under proposed changes, the enhanced first-year CCA deduction is reinstated for zero-emission vehicles under Classes 54 and 55 acquired after 2024. To be eligible, qualifying property has to be acquired and become available for use on or after January 1, 2025, and before 2034. The reinstated deduction is subject to the following phase-out period based on when the property becomes available for use:

- 100% on or after January 1, 2025, and before 2030
- 75% after 2029 and before 2032
- 55% after 2031 and before 2034

For the enhanced first year allowance, the following steps should be taken for calculating the CCA:

1. Increase the net capital cost addition to the class as follows (see columns 9 and 11)

For Class 54:

- if the property is acquired and becomes available for use before 2028 (under proposed changes, is acquired before 2025), increase the capital cost addition by an amount equal to:
 - 2 1/3 times the net addition to the class for property that becomes available for use before 2024
 - 1 1/2 times the net addition to the class for property that becomes available for use in 2024 or 2025
 - 5/6 times the net addition to the class for property that becomes available for use after 2025 and before 2028
- under proposed changes, if the property is acquired after 2024 and becomes available for use before 2034, increase the capital cost addition by an amount equal to:
 - 2 1/3 times the net addition to the class for property that becomes available for use before 2030
 - 1 1/2 times the net addition to the class for property that becomes available for use in 2030 or 2031
 - 5/6 times the net addition to the class for property that becomes available for use after 2031 and before 2034

For Class 55:

- if the property is acquired and becomes available for use before 2028 (under proposed changes, is acquired before 2025), increase the capital cost addition by an amount equal to:

- 1 1/2 times the net addition to the class for property that becomes available for use before 2024
- 7/8 times the net addition to the class for property that becomes available for use in 2024 or 2025
- 3/8 times the net addition to the class for property that becomes available for use after 2025 and before 2028
- under proposed changes, if the property is acquired after 2024 and becomes available for use before 2034, increase the capital cost addition by an amount equal to:
 - 1 1/2 times the net addition to the class for property that becomes available for use before 2030
 - 7/8 times the net addition to the class for property that becomes available for use in 2030 or 2031
 - 3/8 times the net addition to the class for property that becomes available for use after 2031 and before 2034

2. Suspend the existing CCA half-year rule

The CCA will be applicable on any remaining balance in the classes using the specified rate for the class.

How to calculate capital cost allowance

The following information will help you complete Part A and Part B of the capital cost allowance (CCA) schedule on Form T777. If this is the first year you are claiming CCA, skip column 2 and start with column 3. If this is not the first year you are claiming CCA, start with column 2 and complete the rest of the columns as they apply.

Part A – Classes 8, 10, 54, and 55 property

Column 2 – UCC at the start of the year

If you claimed CCA in any previous year, record in this column the undepreciated capital cost (UCC) of the property at the end of last year. If you completed Part A of form T777 in 2024, you would have recorded this amount in column 13. However, if you received a GST/HST rebate for a vehicle or musical instrument in 2025, you have to reduce your opening UCC by the amount of the rebate.

Column 3 – Cost of additions in the year

If you acquired depreciable property in 2025, enter the total capital cost of the property on the appropriate line.

If you owned property for personal use and then started using it for employment in 2025, there is a change in use. In most cases when this happens, the amount you will enter in this column is the fair market value of the property at the time you start using the property for employment.

For example, you bought a car in 2018 for \$19,000. In 2025, you started using it for employment. By checking car dealerships and the newspapers, you determine its fair market value is \$11,000. Therefore, you enter \$11,000 in column 3.

To determine what class your passenger vehicle belongs to, use the price of the car before you add GST and any PST or HST. Once you have determined in which class

your vehicle belongs to, add the GST and PST or HST that you paid to the vehicle's capital cost.

For example, in 2025, you bought a passenger vehicle for \$35,000 plus HST of \$4,550. Your vehicle belongs in Class 10 even though its capital cost is \$39,550 (\$35,000 + \$4,550), since your cost before the HST was \$35,000. You would enter \$39,550 in column 3 for Class 10 property.

For information on Class 10.1 property, see the section called "Part B – Class 10.1 property" on the next page.

Column 4 – Cost of additions that are AIIP or ZEV acquired before 2025

Enter in this column the cost of additions that are AIIP or ZEV (Class 54 or 55) that were, under proposed changes, acquired before 2025, and became available for use in the year. This cost is a part of the total cost of additions included in column 3 and cannot be higher than the amount in column 3.

If no AIIP or ZEV were, under proposed changes, acquired before 2025, and became available for use in the year, enter "0" in this column.

To be eligible for the accelerated investment incentive or the enhanced CCA deduction for ZEV, the property must become available for use in the year.

Under proposed changes, to be an AIIP, a property has to be acquired before 2025.

For more information on the accelerated investment incentive and how it impacts your CCA calculation, go to canada.ca/taxes-accelerated-investment-income.

Column 5 – Cost of additions from column 3 that are RIIP or ZEV acquired after 2024

Under proposed changes, enter in this column the cost of additions that are RIIP or ZEV (Class 54 or 55) that were acquired after 2024 and that became available for use in the year. This cost is part of the total cost of additions included in column 3 and cannot be higher than the amount in column 3.

A RIIP generally means a property, other than a zero-emission vehicle included in Classes 54 and 55, acquired after 2024, and that becomes available for use before 2034.

To be eligible for the reaccelerated investment incentive or the enhanced CCA deduction for ZEV, the property must become available for use in the year.

If no RIIP or no ZEV were acquired after 2024, and became available for use in the year, enter "0" in this column.

Column 6 – Proceeds of disposition in the year

For depreciable property you disposed of in 2025, enter the **lesser** of:

- the proceeds of disposition of the property, **minus** the related outlays and expenses
- the capital cost of the property

Notes

The proceeds of disposition of a zero emission passenger vehicle that has been included in Class 54 and that is subject to the \$61,000 capital cost limit will be adjusted based on a factor equal to the capital cost limit of \$61,000 as a proportion of the actual cost of the vehicle.

For dispositions after July 29, 2019, the actual cost of the vehicle will also be adjusted for any payments or repayments of government assistance that you may have received or repaid for the vehicle.

Column 7 – UCC after additions and dispositions

Enter the amount you get after you add column 2 to column 3 and subtract column 6.

You cannot claim CCA when the amount in this column is one of the following:

- negative (recapture)
- positive and you do not have any property in the class at the end of the year (terminal loss)

Recapture of CCA

If the amount in this column is negative, you have a recapture of CCA. Include the amount as income on line 10400 of your income tax and benefit return for 2025.

Terminal loss

If the amount in this column is positive and you no longer own any property in that class, you have a terminal loss. You cannot deduct the terminal loss from employment income.

Column 8 – Proceeds of dispositions available to reduce additions of AIIP, RIIP, or ZEV

This column calculates the adjustments under certain circumstances to the additions for the year where there is also a disposition in the year.

When an AIIP and a property that is neither an AIIP nor, under proposed changes, a RIIP of the same class are purchased during the year and a disposition occurs, the disposition first reduces the UCC of the property that is neither an AIIP nor, under proposed changes, a RIIP before reducing the UCC of the AIIP.

Under proposed changes, when a RIIP and a property that is neither a RIIP nor an AIIP of the same class are purchased during the year and a disposition occurs, the disposition also reduces the UCC of the property that is neither a RIIP nor an AIIP before reducing the UCC of the RIIP.

To determine which portion of your proceeds of dispositions, if any, will reduce the cost of your AIIP or ZEV (or, under proposed changes, RIIP) additions, take proceeds of disposition in column 6 **minus** the cost of additions in the year from column 3 **plus** the cost of additions for AIIP or ZEV acquired before 2025 in column 4 **plus**, under proposed changes, the cost of additions for RIIP or ZEV acquired after 2024 in column 5. If the result is negative, enter "0."

If no AIIP or ZEV (or, under proposed changes, RIIP) were acquired, you do not need to use this column.

Column 9 – UCC adjustment for current-year additions of AIIP and ZEV acquired before 2025

This column calculates the enhanced UCC amount used to determine the additional CCA for AIIP or ZEVs acquired before 2025 that became available for use in the year.

For this column, reduce the cost of AIIP or ZEV additions in column 4 by proceeds of disposition available to reduce the AIIP or ZEV (or, under proposed changes, RIIP) additions as calculated in column 8. Multiply the result by the following factor:

- 1 1/2 for property in Class 54
- 7/8 for property in Class 55
- nil for AIIP in class 8 or 10

These factors will change for properties that become available for use after 2025 and the incentive is completely phased out for properties available for use after 2027.

If no AIIP or no ZEV were acquired, enter “0” in this column.

Column 10 – Proceeds of dispositions available to reduce additions of RIIP and ZEV acquired after 2024

Under proposed changes, this column calculates the adjustments under certain circumstances to the additions of RIIP and ZEVs acquired after 2024 for the purposes of calculating CCA for the year where there is also a disposition in the year.

Under an administrative position, the Canada Revenue Agency (CRA) allows the proceeds of disposition that reduce AIIP, RIIP, and ZEV additions from column 8 to reduce the additions of AIIP, RIIP, and ZEVs acquired before 2025 first, with any remaining amount reducing the additions of RIIP and ZEVs acquired after 2024.

To determine which part of your proceeds of dispositions, if any, will reduce your RIIP or ZEV additions acquired after 2024, subtract the cost additions that are AIIP or ZEV acquired before 2025 in column 4 from the proceeds of disposition available to reduce additions of AIIP, RIIP, and ZEVs in column 8. If the result is negative, enter “0.”

If no RIIP or no ZEV were acquired, enter “0” in this column.

Column 11 – UCC adjustment for current-year additions of RIIP and ZEV acquired after 2024

Under proposed changes, this column calculates the enhanced UCC amount used to determine the additional CCA for RIIP and ZEVs acquired after 2024.

For this column, reduce the cost of RIIP or ZEV additions in column 5 by the proceeds of disposition available to reduce the AIIP, RIIP, or ZEVs acquired after 2024 additions as calculated in column 8. Multiply the result by the following factors:

- 1/2 for RIIP in Class 8 or 10
- 2 1/3 for Class 54
- 1 1/2 for Class 55

If no RIIP or no ZEVs were acquired, enter “0” in this column.

Column 12 – Adjustments for current year additions subject to half-year rule

You can only claim CCA on 50% of your net additions (additions minus dispositions) of certain Class 8 or Class 10 properties in 2025. This is known as the 50% rule. The 50% rule does not apply to AIIP or ZEVs (or, under proposed changes, RIIP). Calculate the net additions that are subject to the 50% rule by entering 50% of the amount you get when you subtract column 6, column 5 and column 4 from column 3. If the result is negative, enter “0” in column 12.

Column 13 – Base amount for CCA

Enter the amount you get when you subtract column 12 from column 7 **plus** column 9 **plus** column 11. Base your CCA claim, if any, on the amount in this column. You can only claim CCA on the balance remaining in this column when the amount is positive and you still have property in the class at the end of the year.

Column 15 – CCA for the year

You can only claim CCA if you were still using the property for employment at the end of 2025. If you started using a property for employment part way through the year, you can claim CCA on the property for the full year. You do not have to limit your CCA claim to the part of the year you used the property for employment, the 50% rule is there for that. If you stopped using the property for employment during the year and there is no property left in the class, you cannot claim any CCA on the property for the year.

Enter the CCA you want to claim for 2025. The most you can claim for a Class 10 property is 30% of the amount in column 13. The most you can claim for a Class 8 property is 20% of the amount in column 13.

Column 16 – UCC at the end of the year

Enter the amount you get when you subtract column 15 from column 7. This is your UCC at the end of 2025.

Part B – Class 10.1 property

List each Class 10.1 vehicle on a separate line.

Column 2 – UCC at the start of the year

If you claimed CCA in any previous year for a Class 10.1 vehicle, record in this column the undepreciated capital cost (UCC) of that vehicle at the end of last year. For instance, if you completed Part B of Form T777 in 2024, you would have recorded this amount in column 8. However, if you received a GST/HST rebate for that vehicle in 2025, you have to reduce your opening UCC by the amount of the rebate.

Column 3 – Cost of additions in the year

To determine what class your passenger vehicle belongs to, use the price of the car before you add the GST and any PST or HST. However, include the GST and PST or HST, in the vehicle’s capital cost.

If you owned a passenger vehicle for personal use and then started using it for employment in 2025, there is a change in use. In most cases when this happens, the amount you will enter in column 3 is the fair market value of the property at the time you start using the property for employment.

For a passenger vehicle you acquired in 2025 that cost you more than \$38,000 before GST and PST or HST no matter how much more than \$38,000 it cost, the amount you record is \$38,000 plus the GST and PST or HST that you would have paid on \$38,000.

For example, if you bought a passenger vehicle in 2025 that cost \$38,000 before the GST and PST or HST, your vehicle belongs in Class 10.1. Assume the HST on \$38,000 is \$4,940. Your capital cost is \$42,940 (\$38,000 + \$4,940). You enter \$42,940 in column 3.

There is a limit on the capital cost of a Class 10.1 vehicle you buy from a person with whom you have a non-arm's length relationship. Generally, such a relationship happens when the person from whom you acquire the vehicle is a relative. A non-arm's length relationship can also happen in certain business relationships.

In this case, the capital cost is **the least** of the following three amounts:

- the fair market value of the vehicle when you acquired it
- \$38,000 plus the GST and PST or HST that you would have paid on \$38,000 if you had acquired the vehicle in 2025
- the seller's cost of the vehicle just before you acquired it. The cost can vary depending on what the seller used the vehicle for before you acquired it. If the seller used the vehicle to earn income, the cost will be the UCC of the vehicle just before you acquired it. When the seller was not using the vehicle to earn income, the cost will usually be the original cost of the vehicle

Column 4 – Proceeds of disposition in the year

For a Class 10.1 vehicle you disposed of in 2025, record the **lesser of**:

- the proceeds of disposition of the property minus the related outlays and expenses
- the capital cost of the vehicle

Column 5 – Base amount for CCA

Base your CCA claim, if any, on the amount in this column.

If you owned the vehicle in 2025 and still owned it at the end of 2025, enter in column 5 the same amount you entered in column 2.

If you owned a Class 10.1 vehicle, that became available for use in the current year and you still owned it at the end of the current year, that is **not** an AIIP (or, under proposed changes, a RIIP), you can only claim CCA on 50% of the

capital cost. This is known as the 50% rule. If you acquired a Class 10.1 vehicle in 2025 that is **not** AIIP and you still owned the vehicle at the end of 2025, enter 50% of the amount in column 3 in column 5.

The 50% rule does not apply to AIIP. If the vehicle is an AIIP that became available for use in the current year and you still owned it at the end of the current year, enter 100% of the amount from column 3 in column 5.

Under proposed changes, if the vehicle is a RIIP that became available for use in the current year, and you still owned it at the end of the current year, enter 3/2 of the amount from column 3 in column 5. If you acquired and disposed of the same Class 10.1 vehicle in 2025, enter "0" in column 5.

For a Class 10.1 vehicle you disposed of in 2025, you may be able to claim 50% of the CCA that would be allowed if you had still owned the vehicle at the end of the year. This is known as the **half-year rule on sale**.

You can use the half-year rule if you owned, at the end of 2024, the Class 10.1 vehicle you sold in 2025. If you meet this condition, enter 50% of the amount from column 2 in column 5.

Column 7 – CCA for the year

Claim CCA if you were still using the vehicle for employment at the end of 2025. If you started using a vehicle for employment part way through the year, you can claim CCA on the vehicle for the full year. You do not have to limit your CCA claim to the part of the year that you used the vehicle for employment.

Record the CCA you want to claim for 2025. The most you can claim is 30% of the amount in column 5.

Column 8 – UCC at the end of the year

Calculate the UCC at the end of 2025 as follows:

- For a Class 10.1 vehicle you owned in 2024 and still owned at the end of 2025, enter the amount you get after you subtract the amount in column 7 from the amount in column 2
- For a Class 10.1 vehicle you acquired during 2025 and still owned at the end of 2025, enter the amount you get after you subtract the amount in column 7 from the amount in column 3
- For a Class 10.1 vehicle you disposed of during 2025, enter "0" in column 8. The recapture and terminal loss rules do not apply to a Class 10.1 vehicle

Chapter 11 – Employee goods and services tax / harmonized sales tax (GST/HST) rebate

New Brunswick, Nova Scotia, Newfoundland and Labrador, Ontario, and Prince Edward Island have harmonized their respective provincial sales taxes with the GST to create the HST in each of these provinces. For the rest of this chapter, the CRA refers to these provinces as the participating provinces.

As an employee, you may have incurred expenses in the course of your employment duties. Some of these expenses you paid may have included GST or HST. If you deducted these expenses from your employment income, you may be able to get a rebate of the GST or HST you paid on these expenses. Complete Form GST370, *Employee and Partner GST/HST Rebate Application*, and

claim the rebate on line 45700 of your income tax and benefit return. For more information, see the section called “How to complete Form GST370, *Employee and Partner GST/HST Rebate Application*” on page 36.

It is important for you to keep proper records to support your claim for a GST/HST rebate. For more information on keeping records, see Chapter 1 on page 5 or go to canada.ca/taxes-records.

How a rebate affects your income tax

When you receive a GST/HST rebate for your expenses, you have to include it in your income for the year you received it. Report the amount on line 10400 of your income tax and benefit return. For example, if in 2025 you received a GST/HST rebate that you claimed for the 2024 tax year, you have to include it on line 10400 of your 2025 income tax and benefit return.

If any part of the GST/HST rebate is for a vehicle, an aircraft, or a musical instrument you bought, it will affect your claim for capital cost allowance (CCA) in the year you receive the rebate. If this applies to you, reduce the undepreciated capital cost (UCC) of your vehicle, aircraft, or musical instrument by the amount of the rebate at the beginning of the year in which you receive the rebate and do not include that part of the rebate on line 10400 of your income tax and benefit return. See the example on page 40.

Do you qualify for the rebate

As an employee, you may qualify for a GST/HST rebate if **all** of the following conditions apply:

- You paid GST or HST on certain employment-related expenses and deducted those expenses on your income tax and benefit return
- Your employer is a GST/HST registrant

You do **not** qualify for a GST/HST rebate in **either one** of the following situations:

- Your employer is not a GST/HST registrant
- Your employer is a listed financial institution as defined in the *Excise Tax Act* (for example, an entity that was, at any time during the year, a bank, an investment dealer, a trust company, an insurance company, a credit union, or a corporation whose principal business was lending money)

Expenses that qualify for the rebate

You can only apply for a rebate of the GST or HST you paid on expenses that you can deduct on your income tax and benefit return. You must have paid the GST or HST before claiming the rebate. Common examples of eligible expenses are described in chapters 2 to 9 of this guide.

Non-eligible expenses

Non-eligible expenses include the following:

- expenses on which you did not pay GST or HST, such as:
 - goods and services acquired from non-registrants (for example, small suppliers)

- most expenses you incurred outside Canada (for example, gasoline, accommodation, meals, and entertainment)
- certain expenses that you do not pay GST or HST on, such as basic groceries
- expenses that are not subject to GST or HST, including insurance premiums, mortgage interest, residential rents, interest, motor vehicle licence and registration fees, and salaries
- expenses you incurred when your employer was not a GST/HST registrant
- expenses that relate to an allowance you received from your employer that is not reported in Part C of the GST/HST rebate application (for example, an allowance that was not included in your income as a taxable benefit because it was a reasonable allowance)
- any personal-use part of an eligible expense
- 50% of the GST/HST paid on eligible expenses for food, beverages, and entertainment (for long-haul truck drivers, 20% of the GST/HST paid on these expenses that were incurred during eligible travel periods)
- an expense or part of an expense for which you were reimbursed or are entitled to be reimbursed by your employer

Capital cost allowance (CCA)

You can claim a GST/HST rebate based on the amount of CCA you claimed on motor vehicles, aircrafts and musical instruments on which you paid GST or HST. If you claim CCA on more than one property of the same class, you have to separate the part of the CCA for the property that qualifies for the GST/HST rebate from the CCA for the other properties.

In most cases, you cannot claim a GST/HST rebate based on the CCA claimed on motor vehicles, aircrafts, and musical instruments that relates to any allowance your employer paid you on those properties. However, you **can** claim a rebate if it relates to an allowance your employer reports in Part C of Form GST370. You **cannot** claim a rebate based on the CCA claimed on property for which you received a non-taxable allowance.

If you paid GST when you bought your motor vehicle, aircraft, or musical instrument, you can claim a rebate of 5/105 of the CCA you claimed on your income tax and benefit return. If you paid HST, you can claim a rebate of 13/113, 14/114, or 15/115 of the CCA you claimed on your income tax and benefit return, depending on which HST rate applied to the purchase.

In certain cases, you may have to do an additional calculation if you bought your motor vehicle, aircraft, or musical instrument in one province and brought the property into a participating province. For more information, see the “Situation 5 – Property and services brought into a participating province” section on page 38.

Filing deadline

You should file your Form GST370, *Employee and Partner GST/HST Rebate Application*, with your income tax and benefit return for the year in which you deduct the expenses.

If you do not file your rebate application with your income tax and benefit return, send it along with a letter to your tax centre. Include details such as your social insurance number and the tax year to which the application relates. To find your tax centre address, go to canada.ca/cra -contact or call the CRA at 1-800-959-8281.

You have up to four years from the end of the year to which the expenses relate to file an application for a GST/HST rebate.

Rebate restriction

You can only file **one** Form GST370, *Employee and Partner GST/HST Rebate Application*, for each calendar year.

You **cannot** get a rebate of an amount if any of the following apply:

- The CRA previously refunded, remitted, or credited the tax to you
- You received or are entitled to receive a rebate, refund, or remission under any other section of the *Excise Tax Act* or any other act of Parliament for the same expense
- You received a credit note or you issued a debit note, for an adjustment, refund, or credit that includes the amount
- You paid GST/HST to a supplier registered under the subdivision E of Division II (simplified GST/HST registration regime) of the *Excise Tax Act*. To obtain confirmation whether a supplier is registered under the simplified GST/HST registration regime by using the GST/HST registry searching tool accessible to the public, go to canada.ca/gst-hst-simplifiedconfirmation
- The deadline for filing the rebate has passed

Overpayment of a rebate

If you receive an overpayment of a GST/HST rebate, you have to repay the excess. The CRA charges interest on any balance you owe.

How to complete Form GST370, *Employee and Partner GST/HST Rebate Application*

You must complete parts A, B, and D of Form GST370. If applicable, your employer has to complete Part C (for more information, see “Part C – Declaration by claimant’s employer” on page 38). Use a separate form for each tax year.

Part A – Identification

The tax year of claim should be the same year as the income tax and benefit return for which you are claiming the GST/HST rebate.

Part B – Rebate calculation

Calculate your rebate based on the expenses you deducted on your income tax and benefit return. These expenses include GST and PST, or HST and tips (if the supplier included the tip in your bill).

For eligible expenses on which you paid GST, you can claim a rebate of 5/105 of those expenses. For eligible expenses on which you paid HST, you can claim a rebate of 13/113, 14/114, or 15/115 of those expenses, depending on which HST rate applied to the purchase.

In certain cases, you may have to do an additional calculation if you bought property and services in one province and brought them into a participating province. For more information, see the section called “Situation 5 – Property and services brought into a participating province” on page 38.

Refer to the following situations to determine how to calculate your rebate based on your particular case. When you calculate your rebate, use only the expenses deducted on your income tax and benefit return.

Situation 1 – The only expenses you deducted are union, professional, or similar dues

Not all union, professional, or similar dues that you claimed on line 21200 of your income tax and benefit return are subject to GST/HST. Your receipt for these dues should show whether GST/HST was charged. If these dues are the only expense you deducted, do not complete the charts on pages 4 and 5 of the form.

If you paid GST, enter on lines 1 and 3 of Part B the amount of the expense, including the GST, minus any amount you were reimbursed. Multiply the amount on line 3 by 5/105 and enter the result on line 4.

If you paid HST, enter in column 3B, 3C, or 3D of lines 5 and 7 of Part B the amount of the expense including the HST minus any amount you were directly reimbursed. Add the amounts from columns 3B, 3C, and 3D of line 7, and enter the total on line 8. Multiply the amounts from columns 3B, 3C, and 3D of line 7 by the corresponding fraction (13/113, 14/114, or 15/115) and enter the results on lines 9, 10, and 11 respectively. Finally, add the amounts from lines 9, 10, and 11 and enter the result on line 12.

Note

Columns 3B, 3C, and 3D represent the HST rates for the participating provinces applicable to your situation.

Add lines 4 and 12, and enter the result on line 15. The amount on line 15 is your total rebate claim. Enter this amount on line 45700 of your income tax and benefit return. Ensure to complete Part D.

Situation 2 – You deducted only GST expenses

Before completing Part B, complete Chart 1 and Chart 2 (if applicable) on pages 4 and 5 of the form to determine your total expenses that are eligible for the GST rebate.

Enter in column 1A of Chart 1 the employment expenses you deducted on your income tax and benefit return. You calculated these amounts on Form T777, *Statement of Employment Expenses*, or on Form TL2, *Claim for Meals and Lodging Expenses*.

Also, if applicable, enter in column 1A of Chart 1 the union, professional, or similar dues you claimed on line 21200 of your income tax and benefit return, and on which you paid GST. Your receipt for these dues should show whether GST was charged.

Do not enter any amount in the black areas of Chart 1, since these expenses are not eligible for the rebate.

Enter in column 2A of Chart 1 the amount of any expenses included in column 1A that is not eligible for the rebate. You will find a list of non-eligible expenses on page 35. For each expense, subtract the amount in column 2A from the amount in column 1A. Enter the result in column 3A. Total the expenses in column 3A and enter the result in the "Total eligible expenses" box of column 3A.

If you deducted CCA for a motor vehicle, an aircraft, or a musical instrument on which you paid GST, enter the total amount of this CCA in column 1A of Chart 2. If you claimed CCA for a motor vehicle, an aircraft, or a musical instrument, subtract any non-eligible CCA in column 2A from your total CCA in column 1A. Enter the result in column 3A.

Copy the "Total eligible expenses" amount from column 3A of Chart 1 and column 3A of Chart 2 to lines 1 and 2 respectively of Part B on the front of the form. Add line 1 and line 2 in Part B, and enter the result on line 3. Multiply line 3 by 5/105 and enter the result on line 4.

Copy the amount from line 4 to line 15. This is your total rebate claim. Enter this amount on line 45700 of your income tax and benefit return. Do not forget to complete Part D.

Situation 3 – You deducted only HST expenses

Before completing Part B, complete Chart 1 and Chart 2 (if applicable) on pages 4 and 5 of the form to determine your total expenses that are eligible for the HST rebate.

Enter in column 1B, 1C, and/or 1D of Chart 1 (depending on the HST rate(s) applicable to you) the employment expenses you deducted on your income tax and benefit return. You calculated these amounts on Form T777, *Statement of Employment Expenses*, or on Form TL2, *Claim for Meals and Lodging Expenses*.

Also, if applicable, enter in column 1B, 1C and/or 1D of Chart 1 the union, professional, or similar dues you claimed on line 21200 of your income tax and benefit return, and for which you paid HST. Your receipt for these dues should show whether HST was charged.

Do not enter any amount in the black areas of Chart 1, since these expenses are not eligible for the rebate.

Enter in column 2B, 2C, and/or 2D of Chart 1 the part of any expenses included in the applicable box of column 1 of Chart 1 that is not eligible for the rebate. You will find a list of non-eligible expenses on page 35. For each expense, subtract the amount in column 2 from the corresponding amount in column 1. Enter the result in column 3B, 3C, and/or 3D of Chart 1, as applicable. Total the expenses in column 3B, 3C, and/or 3D, and enter the result in the appropriate "Total eligible expenses" boxes of column 3 of Chart 1.

If you deducted CCA for a motor vehicle, an aircraft, or a musical instrument on which you paid HST, enter the total amount of this CCA in column 1B, 1C and/or 1D of Chart 2. If you claimed CCA for a motor vehicle, aircraft, or musical instrument, subtract any non-eligible CCA in column 2B, 2C, and/or 2D, as applicable, from your total CCA in the corresponding row of column 1. Enter the result in column 3B, 3C and/or 3D of Chart 2, as applicable.

Copy the "Total eligible expenses" amount from column 3B, 3C and/or 3D of Chart 1 to column 3B, 3C and/or 3D of line 5 (depending on the HST rates applicable to your situation) of Part B on page 2 of the form. Copy the amount from column 3B, 3C, and/or 3D of Chart 2 to column 3B, 3C, and/or 3D of line 6 (depending on the HST rates that apply to your situation) of Part B on page 2 of the form. Add columns 3B, 3C, and/or 3D of line 5 and line 6 of Part B, and enter the results on the corresponding columns of line 7. Add the totals from the applicable columns on line 7 and enter the result on line 8.

Multiply column 3B of line 7 by 13/113 and enter the result on line 9. Multiply column 3C by 14/114 and enter the result on line 10. Multiply column 3D of line 7 by 15/115 and enter the result on line 11. Total lines 9, 10 and 11, and enter the result on line 12.

If Situation 5 described on the next page does not apply to you, copy the amount from line 12 to line 15. This is your total rebate claim. Enter this amount on line 45700 of your income tax and benefit return. Do not forget to complete Part D.

Situation 4 – You deducted both GST and HST expenses

Before completing Part B, complete Chart 1 and Chart 2 (if applicable) on pages 4 and 5 of the form to determine the total expenses that are eligible for the GST/HST rebate.

You calculated your employment expenses using Form T777, *Statement of Employment Expenses*, or Form TL2, *Claim for Meals and Lodging Expenses*. Separate the expenses on which you paid GST from those expenses on which you paid HST. Enter the GST expenses in column 1A of Chart 1 and the HST expenses in column 1B, 1C and/or 1D (depending on the HST rate(s) applicable to you) of Chart 1.

Also, if applicable, enter in column 1A, 1B, 1C, and/or 1D of Chart 1 the union, professional, or similar dues that you claimed on line 21200 of your income tax and benefit return, and on which you paid the GST or HST. Your receipt for these dues should show whether GST or HST was charged.

Do not enter any amount in the black areas, since these expenses are not eligible for the rebate.

Enter in column 2A, 2B, 2C, and/or 2D of Chart 1 the part of any expenses included in the applicable box of column 1 that is not eligible for the rebate. You will find a list of non-eligible expenses on page 35. For each expense, subtract the amount in column 2 from the corresponding amount in column 1. Enter the result in column 3A, 3B, 3C, and/or 3D of Chart 1, as applicable. Total the expenses in column 3A, 3B, 3C and/or 3D, and enter the result in the appropriate "Total eligible expenses" boxes of column 3 of Chart 1.

If you deducted CCA for a motor vehicle, an aircraft, or a musical instrument on which you paid the GST/HST, enter the total amount of the CCA in column 1A, 1B, 1C and/or 1D of Chart 2. If you claimed CCA for a motor vehicle, an aircraft, or a musical instrument, subtract any non-eligible CCA in column 2A, 2B, 2C, and/or 2D, as applicable, from your total CCA in the corresponding row of column 1 (see example on page 40). Enter the result in column 3A, 3B, 3C and/or 3D of Chart 2, as applicable.

Copy the "Total eligible expense" amount from column 3A of Chart 1 and column 3A of Chart 2 to lines 1 and 2 respectively of Part B on page 1 of the form. Add line 1 and line 2 in Part B, and enter the result on line 3. Multiply line 3 by 5/105 and enter the result on line 4.

Copy the "Total eligible expenses" amount from column 3B, 3C and/or 3D of Chart 1 to column 3B, 3C and/or 3D of line 5 (depending on the HST rates applicable to your situation) of Part B on page 2 of the form. Copy the amount from column 3B, 3C, and/or 3D of Chart 2 to column 3B, 3C, and/or 3D of line 6 (depending on the HST rates that apply to your situation) of Part B on page 2 of the form. Add columns 3B, 3C, and 3D of line 5 and line 6 of Part B, and enter the results on the corresponding columns of line 7. Add the totals from the applicable columns on line 7, and enter the result on line 8.

Multiply column 3B of line 7 by 13/113 and enter the result on line 9. Multiply column 3C by 14/114 and enter the result on line 10. Multiply column 3D of line 7 by 15/115 and enter the result on line 11. Total lines 9, 10, and 11, and enter the result on line 12.

If Situation 5 (described below) does not apply to you, add lines 4 and 12, and enter the result on line 15. This is your total rebate claim. Enter this amount on line 45700 of your income tax and benefit return. Do not forget to complete Part D.

Situation 5 – Property and services brought into a participating province

You may be eligible to claim a rebate of 1/101, 2/102, 8/108, 9/109, or 10/110 for eligible expenses deducted on your income tax and benefit return for which you paid all or part of the applicable provincial part of HST separately. You may have paid all or part of the applicable provincial part of HST separately in the following situations:

- You purchased goods in a non-participating province and brought them into a participating province
- You purchased goods in a participating province and brought them into another participating province for which the rate of HST is higher
- You imported commercial goods from outside Canada into a participating province
- You had goods delivered or made available to you in a participating province, or sent by mail or courier to you at an address in a participating province from a non-resident of Canada who is not a GST/HST registrant

If Situation 5 applies to you, complete Chart 3. If you need help, call CRA's business enquiries line at **1-800-959-5525**.

Situation 6 – The only expenses you deducted are tradesperson's tools expenses and/or apprentice mechanic tools expenses

If the only expenses you claimed on line 22900 of your income tax and benefit return were for the cost of tools bought as a tradesperson and/or an apprentice mechanic (see Chapter 7 on page 16), and **neither** Situation 4 nor Situation 5 applies to you, do **not** complete the charts on pages 4 and 5 of Form GST370.

If you paid GST, enter on lines 1 and 3 of Part B the amount of the expense you claimed on line 22900 of your income tax and benefit return, including the GST minus any amount you were reimbursed. Multiply the amount on line 3 by 5/105 and enter the result on line 4.

If you paid HST, enter in column 3B, 3C and/or 3D of lines 5 and 7 of Part B the amount of the expense minus any amount you were directly reimbursed. Add the amounts from columns 3B, 3C, and/or 3D of line 7, and enter the total on line 8. Multiply the amounts from columns 3B, 3C, and/or 3D of line 7 by the corresponding fraction (13/113, 14/114, or 15/115) and enter the results on lines 9, 10, and 11 respectively. Finally, add the amounts from lines 9, 10, and 11, and enter the result on line 12.

Note

Columns 3B, 3C, and 3D represent the HST rates for the participating provinces applicable to your situation.

Add lines 4 and 12, and enter the result on line 15. The amount on line 15 is your total rebate claim. Enter this amount on line 45700 of your income tax and benefit return. Do not forget to complete Part D.

Part C – Declaration by claimant's employer

You may want to claim a rebate for expenses that relate to a taxable allowance. A taxable allowance will be included in box 40 of your T4 slip. If so, your employer or an authorized officer has to complete Part C. An authorized officer includes an immediate supervisor, controller, or office manager.

You cannot claim a rebate for expenses for which you received a non-taxable allowance. A non-taxable allowance is an allowance that was considered reasonable when it was paid.

Note

Since you can only file one Form GST370 per calendar year, in the event that your claim relates to expenses incurred from more than one employer, you will need to attach a letter to the form from any additional employers certifying the expenses relating to them.

Part D – Certification

Sign the certification area. If you don't, it may delay or invalidate your GST/HST rebate claim.

After completing your rebate application

After completing Form GST370, attach a copy to your income tax and benefit return, and enter the amount of your claim on line 45700 of your income tax and benefit return. Keep a copy of the completed form for your records.

Quebec sales tax rebate

Some of the expenses you paid to earn your employment income may have included Quebec sales tax (QST). If you deducted these expenses from your employment income, you may be able to receive a rebate of the QST you paid. This rebate also applies to the QST you paid on a musical instrument that you use to earn employment income. Claim the QST rebate on line 459 of your Quebec provincial income tax return.

If the QST rebate is for your employment expenses, include the rebate in your income for the year you received it.

Report the amount on line 10400 of your federal income tax and benefit return.

If the QST rebate is for a vehicle or musical instrument you bought, it will affect your claim for capital cost allowance in the year you receive the rebate. If this applies to you, reduce the undepreciated capital cost of your vehicle or musical instrument at the beginning of the year by the amount of the rebate. Do not include the rebate on line 10400 of your federal income tax and benefit return.

For more information about the QST rebate and Form VD-358-V, *Québec Sales Tax Rebate for Employees and Partners*, contact Revenu Québec.

Example

You are a commissioned salesperson who negotiates contracts for your employer in Ontario which has an HST rate of 13%. Under your contract of employment, you have to pay your own expenses and you are normally required to work away from your employer's place of business. Your employer is a GST/HST registrant. You received a taxable allowance for the use of your motor vehicle (purchased in December of 2024) that is included on your T4 slip for 2025. Since the allowance is taxable, you can claim a rebate on certain expenses related to that allowance. Your travel for work is restricted to Ontario and all of your expenses are incurred within the province.

To calculate your employment expenses, you completed Form T777, *Statement of Employment Expenses*, as shown below and on the top of the following page. Because of space limitations, the entire form is not reproduced.

Expenses				
Accounting and legal fees	8862		1	
Advertising and promotion	8520	+	2	
Allowable motor vehicle expenses (see chart for line 3 below)	9281	+	11,803.06 3	
Food, beverages, and entertainment expenses	1,559.68	× 50% = 8523	+	779.84 4
Lodging	9200	+	5	
Parking	8910	+	6	
Office supplies (postage, stationery, ink cartridge, etc.)	8810	+	178.25 7	
Other expenses (employment use of a cell phone, long distance calls for employment purposes, etc.) (specify): Cell Phone	9270	+	623.13 8	
Tradesperson's tools expenses (maximum \$1,000)	1770	+	9	
Apprentice mechanic tools expenses	9131	+	10	
Labour mobility deduction (see chart for line 11 on page 2) (maximum \$4,000)	1771	+	11	
Musical instrument expenses	1776	+	12	
Capital cost allowance for musical instruments (see Part A on page 4)	1777	+	13	
Artists' employment expenses	9973	+	14	
Add lines 1 to 14.		=	13,384.28 15	
Work-space-in-the-home expenses (see chart for line 16 on page 3)	9945	+	16	
Line 15 plus line 16				
Enter this amount on line 22900 of your return.	Total expenses	9368	= 13,384.28 17	

Line 3 – Calculation of allowable motor vehicle expenses

Enter the year, make, and model of the motor vehicle used to earn employment income.	Dodge 2020	
Enter the number of kilometres you drove in the tax year to earn employment income.	22,500	18
Enter the total number of kilometres you drove in the tax year.	÷ 30,000	19
Line 18 divided by line 19	= 0.75000	20
Enter the motor vehicle expenses you paid for:		
Fuel (such as gasoline, propane, and oil) and electricity	3,230.55	21
Maintenance and repairs	+ 467.67	22
Insurance	+ 1,200.00	23
Licence and registration	+ 260.00	24
Capital cost allowance (see Parts A and B on pages 4 and 5)	+ 8,644.50	25
Interest expense	+ 1,850.19	26
Leasing costs	+	27
Other expenses (specify):	+ 84.50	28
Add lines 21 to 28.	= 15,737.41	29
Line 20 multiplied by line 29	Employment-use portion	= 11,803.06 30

Line 3 – Calculation of allowable motor vehicle expenses (continued)

Enter the total of all rebates, motor vehicle allowances, and reimbursements for motor vehicle expenses you received that are not included in income (do not include any repayments you used to calculate your leasing costs on line 27 of the previous page).	–	31
Line 30 minus line 31		
Enter this amount on line 3 of page 1.	Allowable motor vehicle expenses	= 11,803.06 32

Part B – Class 10.1 (list each passenger vehicle on a separate line)									
Date acquired	Cost of vehicle	1 Class number	2 Undepreciated capital cost (UCC) at the start of the year	3 Cost of additions in the year	4 Proceeds of dispositions in the year	5 Base amount for CCA	6 CCA Rate (%)	7 CCA for the year (col. 5 multiplied by col. 6 or a lower amount)	8 UCC at the end of the year (col. 2 minus col. 7 or col. 3 minus col. 7)
2024-12-31	37,000.00	10.1	28,815.00			28,815.00	30%	8,644.50	20,170.50
		10.1					30%		
		10.1					30%		
TOTAL								8,644.50	

You are now ready to calculate your GST/HST rebate. To claim the rebate, you have to complete Form GST370, *Employee and Partner GST/HST Rebate Application*. You complete Part A. Before you can complete Part B, you have to complete Chart 1 of Form GST370 to calculate your HST eligible expenses. You must also complete Chart 2 because you are claiming CCA on your motor vehicle. Using the information in this guide, you calculate and report the expenses not eligible for the rebate in column 2B of Chart 1. To calculate the **personal-use portion** of your motor vehicle expenses, you use the fraction 7,500/30,000. This is the personal kilometres driven (30,000 – 22,500) over the total kilometres driven. You enter this non-eligible portion of CCA in column 2B of Chart 2. You complete Chart 1 and Chart 2 on your Form GST370 as follows:

Chart 1 – Eligible expenses (other than CCA) on which you paid GST/HST												
Type of expenses	(1) Total expenses				(2) Non-eligible portion of expenses				(3) Eligible expenses (col. 1 minus col. 2)			
	5% GST	13% HST	14% HST	15% HST	5% GST	13% HST	14% HST	15% HST	5% GST	13% HST	14% HST	15% HST
	A	B	C	D	A	B	C	D	A	B	C	D
Accounting and legal fees												
Advertising and promotion												
Food, beverages, and entertainment		779.84								779.84		
Lodging												
Parking												
Supplies		178.25								178.25		
Tradesperson's tools expenses (for employees)												
Apprentice mechanic tools expenses (for employees)												
Labour mobility deduction (for employees)												
Musical instrument expenses other than CCA												
Artists' employment expenses												
Union, professional, or similar dues												
Other expenses (specify)		623.13								623.13		
Motor vehicle expenses:												
Fuel		3,230.55				807.64				2,422.91		
Maintenance and repairs		467.67				116.92				350.75		
Insurance, licence, registration, and interest												
Leasing												
Other expenses (specify)		84.50				21.13				63.37		
Work space in home:												
Electricity, heat, and water												
Maintenance												
Insurance and property taxes												
Other expenses (specify)												
Total eligible expenses (other than CCA) in each of columns 3A, 3B, 3C and 3D										4,418.25		

Chart 2 – GST/HST paid on expenses on which you claimed Capital Cost Allowance (CCA)												
	(1) Total expenses				(2) Non-eligible portion of expenses				(3) Eligible expenses (col. 1 minus col. 2)			
	5% GST	13% HST	14% HST	15% HST	5% GST	13% HST	14% HST	15% HST	5% GST	13% HST	14% HST	15% HST
	A	B	C	D	A	B	C	D	A	B	C	D
Capital cost allowance (CCA) on motor vehicles, musical instruments, and aircraft		8,644.50				2,161.13				6,483.37		

* $\$3,230.55 \times (7,500/30,000) = \807.64

*** $\$84.50 \times (7,500/30,000) = \21.13

** $\$467.67 \times (7,500/30,000) = \116.92

**** $\$8,644.50 \times (7,500/30,000) = \$2,161.13$

You did not enter any amounts in the black areas, since these expenses are not eligible for the rebate.

You copy the amounts from the "Total eligible expenses" lines of column 3B of Chart 1 to column 3B of line 5 in Part B of Form GST370 and column 3B of Chart 2 to column 3B of line 6 in Part B, and complete it as follows:

Part B – Rebate calculation (continued)			
HST rebate for eligible expenses on which you paid the HST	3B – 13% HST	3C – 14% HST	3D – 15% HST
Eligible expenses, other than CCA , on which you paid the HST (totals of each of columns 3B , 3C and 3D of Chart 1 on page 4)	4,418.25		
Eligible CCA on motor vehicles, musical instruments and aircraft for which you paid the HST (columns 3B , 3C and 3D of Chart 2 on page 5)	+	6,483.37	
Total (add lines 5 and 6 in each of columns 3B , 3C and 3D)	=	10,901.62	
Total eligible expenses for the HST rebate (add the totals of columns 3B , 3C and 3D together from line 7)			10,901.62
Multiply line 7 in column 3B by 13/113		1,254.17	
Multiply line 7 in column 3C by 14/114			
Multiply line 7 in column 3D by 15/115			
Total (add lines 9, 10 and 11)			1,254.17
Total expenses eligible for the HST rebate (from line 4 in Chart 3 on page 5)			64860
Rebate for property and services brought into a participating province			
Employee and partner GST/HST rebate (add lines 4, 12 and 14)			1,254.17

Since you are claiming a rebate for your motor vehicle expenses for which you received a taxable allowance, an authorized officer of your employer has to complete and sign Part C.

You enter \$1,254.17 on line 45700 of your 2025 income tax and benefit return. You also attach Form GST370 to your tax return.

On your 2026 income tax and benefit return, you will include \$508.29 ($\$4,418.25 \times [13/113]$) on line 10400. This amount is the part of the rebate you will receive in 2026 that relates to eligible expenses other than CCA. You will then reduce your UCC at the beginning of 2026 by \$745.87 ($\$6,483.37 \times [13/113]$).

References

To get the following publications, go to canada.ca/cra-forms-publications or call **1-800-959-8281**.

Forms

T137	<i>Request for Destruction of Records</i>
T777	<i>Statement of Employment Expenses</i>
T2200	<i>Declaration of Conditions of Employment</i>
TL2	<i>Claim for Meals and Lodging Expenses</i>
GST370	<i>Employee and Partner GST/HST Rebate Application</i>
RC359	<i>Tax on Excess Employees Profit Sharing Plan Amounts</i>

Guides

P105	<i>Students and Income Tax</i>
RC4110	<i>Employee or Self-employed</i>
T4002	<i>Self-employed Business, Professional, Commission, Farming, and Fishing Income</i>

Information circulars

IC73-21R9	<i>Claims for Meals and Lodging Expenses of Transport Employees</i>
IC78-10R5	<i>Books and Records Retention/Destruction</i>

Archived Interpretation bulletins

IT-352R2	<i>Employee's Expenses, Including Work Space in Home Expenses</i>
IT-357R2	<i>Expenses of Training</i>
IT-518R	<i>Food, Beverages and Entertainment Expenses</i>
IT-522R	<i>Vehicle, Travel and Sales Expenses of Employees</i>

Consolidated and archived Interpretation bulletin

IT-99R5	<i>Legal and Accounting Fees</i>
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Income Tax Folio

S4-F14-C1	<i>Artists and Writers</i>
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For more information

If you need help

For help with common topics, current contact centre wait times, and links to online self-serve options, go to canada.ca/cra-contact.

Forms and publications

The CRA encourages you to file your return electronically. If you need a paper version of the CRA's forms and publications, go to canada.ca/cra-forms-publications or call **1-800-959-8281**.

Digital services for individuals

The CRA's digital services are fast, easy, and secure!

My Account

My Account lets you access your personal income tax and benefit information, and interact with the CRA online throughout the year.

Profile

- Change your address, phone numbers, direct deposit information, marital status, information about children in your care, and language preference

- Edit your notification preferences and receive email notifications when important changes are made to your account
- Manage your authorized representatives and authorization requests
- Manage your multi-factor authentication settings, security options, and personal identification number (PIN)

Tax returns

- View your notice of assessment or reassessment, special elections and returns, carryover amounts, and tax information slips (T4 and more)

Account and payments

- View your account balance and statement of account
- Make a payment online to the CRA with the My Payment service, create a pre-authorized debit (PAD) agreement, or create a QR code to pay in person at Canada Post for a fee
- Transfer a payment

Benefits and credits

- View your benefit and credit information, and apply for certain benefits

Savings and pension plans

- View information about your Registered Retirement Savings Plan (RRSP), Tax-Free Savings Account (TFSA), Home Buyers' Plan (HBP), First Home Savings Account (FHSA), and Lifelong Learning Plan (LLP)

Correspondence

- View mail from the CRA
- Submit documents to the CRA
- Submit an audit enquiry
- File a formal dispute
- Request a CPP/EI ruling

Additional digital services

- Track the progress of certain files and enquiries you have submitted to the CRA
- View and print your proof of income statement

Receive your CRA mail online

Set your correspondence preference to "Electronic mail" to receive email notifications when CRA mail, like your notice of assessment, is available in your account. You will no longer receive your CRA mail by paper.

For more information, go to canada.ca/cra-email-notifications.

Access My Account

To access My Account, go to canada.ca/cra-sign-in-services and sign in to or register for a CRA account.

Teletypewriter (TTY) and Video Relay Service (VRS) users

If you use a TTY for a hearing or speech impairment, call **1-800-665-0354**.

Register with Canada VRS to download the app, by going to srvcanadavrs.ca/en/get-the-app, and call the VRS line.

If you use an **operator-assisted relay service**, call the CRA's regular telephone numbers instead of the TTY or Canada VRS numbers.

Formal disputes (objections and appeals)

You have the right to file an objection or an appeal if you disagree with an assessment, a determination, or a decision.

For more information, go to canada.ca/cra-file-objection.

CRA service feedback program

Service complaints

You can expect to be treated fairly and to receive a high level of service every time you interact with the CRA.

You can provide compliments or suggestions; however, if you are not satisfied with the service you received:

- You may save time by calling the CRA first depending on your situation. You can call the telephone number provided in your CRA correspondence or discuss your concerns with the employee you have been dealing with. If you do not have a contact number, go to canada.ca/cra-contact
- You can ask to discuss the matter with the employee's supervisor if you have not been able to resolve your service issue
- You can submit feedback by filling out Form RC193, *Service Feedback*, if the issue remains unresolved. For more information, go to canada.ca/cra-service-feedback
- You may contact the Office of the Taxpayers' Ombudsperson if you are not satisfied with the response you have received. The Ombudsperson will only respond to complaints that the CRA has already tried to address

For more information about the *Taxpayer Bill of Rights*, go to canada.ca/taxpayer-rights.

Reprisal complaints

If you have received a response regarding a previously submitted service complaint or formal review of a CRA decision and felt you were not treated fairly by a CRA employee, you can submit a reprisal complaint by filling out Form RC459, *Reprisal Complaint*.

For more information, go to canada.ca/cra-reprisal-complaints.